

# DEBARK UNIVERSITY

College Of Business And Economics

## Department Of Management

International Marketing Hand out

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## **CHAPTER I**

### **1.CONCEPTS OF INTERNATIONAL MARKETING**

#### **1.1. Definitions and distinctions**

“International marketing is: the multinational process of planning and executing the conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that satisfy individual and organizational Objectives.” AMA (American Marketing Association). Limitations of the definition; by placing individual objectives at one end of the definition and organizational objectives at the other, the definition stresses a relationship between a consumer and an organization. In effect, it fails to do justice to the significance of business to business marketing, which involves a transaction between two organizations. And, in the world of international marketing, governments, quasigovernment agencies, and profit-seeking and nonprofit entities are frequently buyers. Finally, the “multinational process” implies that the international marketing process is not a mere repetition of using identical strategies abroad. The four Ps of marketing (product, place, promotion, and price) must be integrated and coordinated across countries to bring about the most effective marketing mix. In some cases, the mix may have to be adjusted for a market for better impact.

“International marketing is the performance of business activities designed to plan, price, promote and direct the flow of a company’s goods and services to consumers or users in more than one nation for a profit.” Cateora and Graham.

The only difference between the definitions of domestic marketing and international marketing is that in the latter case marketing activities take place in more than one country. The difference is the “environment” Competition, legal restraints, government controls, weather, unpredictable consumers, economic conditions, technological constraints, infrastructure concerns, culture, and political situations.

Per, Gerald Albaum and others “International Marketing is the marketing of goods, services and information across political boundaries.” Thus, it includes the same elements as domestic marketing: planning, promoting, distributing, pricing and support of the goods, services and information to be provided to intermediate and ultimate

consumers. The process of international marketing, however, is typically much more complex and interesting, than domestic marketing.

The international marketer must deal with several key differences in foreign environments as compared to domestic environments. These may include differences in consumer tastes and needs, economic levels, market structures, ways of doing business, laws and regulations, and many other factors. Together, these differences require careful and well-planned approach to entering and expanding in the international marketplace.

### **1.2.Domestic marketing Vs. International Marketing**

The efficient and effective management and utilization of a company's resources to satisfy the consumers' demands and meet the company's goals and objectives is known as marketing.

Marketing involves a wide range of activities like planning and executing the conception, pricing, promotion, and distribution of goods, services, and ideas to create exchanges with target groups that aim to satisfy customer and organizational objectives.

Given below are some of the different features of domestic marketing and international marketing:

#### ***Domestic Marketing***

Domestic marketing is the supply and demand of goods and services within a single country. In domestic trading, a firm faces only one set of competitive, economic, and market issues and essentially must deal with only one set of customers, although the company may have several segments in a market.

There are no language barriers in domestic marketing and obtaining and interpreting data on local marketing trends and consumer demands is easier and faster.

Marketing within the native country helps the company in making decisions and develop effective and efficient marketing strategies. The companies require less financial resources and the risk factors are also less comparatively. In terms of geographical

boundaries and available market platform, local markets are smaller than international market, even though most companies are targeting at global business.

### ***International Marketing***

International marketing is the promotion of company's market by providing auction of company's products to consumers in different countries. It is very complicated and demands huge capital and financial resources. Every nation follows its own laws in business and a company that targets entering into business in another country must first learn about these laws, rules and regulations. Customer tastes, choices and preferences are different in different nations. New marketing strategies must be adopted to match with the requirements of different consumers.

International marketing is time consuming and requires more effort. It is highly prone to risks. Any company in the international market must always be prepared to deal with sudden changes in the marketing environment.

Generally, Domestic marketing involves onset of uncontrollable derived from the domestic market. International marketing is much more complex because a marketer faces two or more sets of uncontrollable variables originating from various countries.

#### **1.3. International trade concepts**

##### **Basis for International Trade**

Whenever a buyer and a seller come together, each expects to gain something from the other. The same expectation applies to nations that trade with each other. It is virtually (nearly) impossible for a country to be completely self-sufficient without incurring undue costs. Therefore, trade becomes a necessary activity, though, in some cases, trade does not always work to the advantage of the nations involved. Virtually all governments feel political pressure when they experience trade deficits (scarcity). Too much emphasis is often placed on the negative effects of trade, even though it is questionable whether such perceived disadvantages are real or imaginary. The benefits of

trade, in contrast, are not often stressed, nor are they well communicated to workers and consumers.

### **Why do nations trade?**

A nation trades because it expects to gain something from its trading partner. One may ask whether trade is like a **zero-sum game**, in the sense that one must lose so that another will gain. The answer is no, because, though one does not mind gaining benefits at someone else's expense, no one wants to engage in a transaction that includes a high risk of loss.

For trade to take place, both nations must anticipate gain from it. In other words, trade is a *positive-sum game*. *Trade is about "mutual gain."* To explain how gain is derived from trade, it is necessary to examine a country's production possibility curve. How absolute and relative advantages affect trade options is based on the trading partners' production possibility curves.

### **Production possibility curve**

Without trade, a nation would have to produce all commodities by itself to satisfy all its needs.

The country may elect to specialize or put all its resources into making either computers (point A) or automobiles (point B). At point C, product specialization has not been chosen, and thus a specific number of each of the two products will be produced. Because each country has a unique set of resources, each country possesses its own unique production possibility curve. This curve, when analyzed, provides an explanation of the logic behind international trade.

The principles of absolute advantage and relative advantage explain how the production possibility curve enables a country to determine what to export and what to import.

### **1.3. Absolute advantage theory**

Adam Smith may have been the first scholar to investigate formally the rationale behind foreign trade. In his book, *Wealth of Nations*, Smith used the principle of absolute advantage as the justification for international trade. Per this principle, a country should export a commodity that can be produced at a lower cost than can other nations. Conversely, it should import a commodity that can only be produced at a higher cost than can other nations.

Let's take hypothetical production figures for the USA and Japan based on two products: the computer and the automobile.

Case 1 shows that, given certain resources and labor, the USA can produce twenty computers or ten automobiles or some combination of both.

|        | Product    | USA | Japan |
|--------|------------|-----|-------|
| Case 1 | Computer   | 20  | 10    |
|        | Automobile | 10  | 20    |
| Case 2 | Computer   | 20  | 10    |
|        | Automobile | 30  | 20    |
| Case 3 | Computer   | 20  | 10    |
|        | Automobile | 40  | 20    |

If each country specializes in the product for which it has an absolute advantage, each can use its resources more effectively while improving consumer welfare at the same time. Since the USA would use fewer resources in making computers, it should produce this product for its own consumption as well as for export to Japan. Based on this same rationale, the USA should import automobiles from Japan rather than manufacture them itself. For Japan, of course, automobiles would be exported and computers imported.

An analogy may help demonstrate the value of the principle of absolute advantage. A doctor is better than a mechanic in performing surgery, whereas the mechanic is superior in repairing cars. It would be impractical for the doctor to practice medicine as well as repair the car when repairs are needed. For practicality, each person should concentrate on and specialize in the craft which that person has mastered.

#### **1.4.Comparative advantage theory**

One problem with the principle of absolute advantage is that it fails to explain whether trade will take place if one nation has absolute advantage for all products under consideration. Nineteenth century British economist David Ricardo, perhaps the first economist to fully appreciate relative costs as a basis for trade, argues that absolute production costs are irrelevant.

More meaningful are relative production costs, which determine what trade should take place and what items to export or import. Per Ricardo's principle of relative (or comparative) advantage, one country may be better than another country in producing many products but should produce only what it produces best. Essentially, it should concentrate on either a product with the greatest comparative advantage or a product with the least comparative disadvantage. Conversely, it should import either a product for which it has the greatest comparative disadvantage or one for which it has the least comparative advantage. The USA has a greater relative advantage for the computer product. Therefore, the USA should specialize in producing the computer product. For Japan, having the least comparative disadvantage in automobiles indicates that it should make and export automobiles to the USA.

#### **1.5.Export marketing and International Marketing**

International marketing is often not the same as selling the product simply to several countries. Companies need to take care of the language barrier, the ideals and habits in the markets in which approaching. Adapting marketing strategies to attract a specific

group that is trying to sell is very important and can be the cause number one a failure or a success.

The procedure of planning and executing the rates, promotion and distribution of products and services is the same worldwide.

In recent times, companies are not restricted to their national borders, but are open for international marketing. With the increasing change in customers' demands, choices, preferences and tastes, the economies are expanding and giving way to more competitive marketing. Thus, organizations need to respond rapidly to the demands of the customers with well-defined marketing strategies.

### **Broader market is available**

A wide platform is available for marketing and advertising products and services. The market is not limited to some precise local market or for people residing in a particular place, region or country but is free for all. People from different nations sharing different cultures and traditions can actively participate in it.

### **Involves at least two set of uncontrollable variables**

By uncontrollable variables, we mean the geographical factors, political factors prevailing in different countries. At the global level, all the companies have to face uncontrollable variables from different countries. While establishing business globally, a company has to learn to deal with these variables.

### **Requires broader competence**

International market requires more expertise and special management skills and wider competence to deal with various circumstances and handle different situations like changes in the strategies of the government, the mindset of the people and many other such factors.

### **Competition is intense**

Competition is very tough in international market, as the organizations at the global level have to compete with both competitors in their home countries and also in the foreign lands.



Competition is high because the clash is between developed & developing countries and both have different standards and are unequal partners.

### **Involves high risk and challenges**

International marketing with its own advantages is also prone to different and tangible risks and challenges. These challenges come in the form of political factors, regional and cultural differences, changing fashion trends, sudden war situation, revision in government rules and regulations and communication barriers

The nature of international marketing is dependent on various factors and conditions and above all, it is dependent on the policies framed by different countries which are active participants in international marketing. International marketing tends to ensure balanced import and export to all countries big or small, rich or poor, developed or developing.

Management of international market is tough and requires thorough market research. It is a predefined process which is directed towards designing and delivering products based on the demands from the overseas customers. Proper management also helps the company attain its objectives.

### **Large-scale operation**

Large-scale operations involve relative amount of labor and capital to cater to the needs such as transportation, and warehousing.

### **Domination of multinationals and developed countries**

International marketing is highly dominated by multinational corporations due to their worldwide reach. These organizations apply efficient and effective business practices to all their business operations. They have a stable position and with their global approach find themselves fitting into the arena of international marketing.

### **International restrictions**

The international market needs to abide by different tariff and non-tariff constraints. These constraints are regulated because different countries follow different regulations. All nations tend to rationally abide by tariff barriers. All the imports and exports between

the nations participating in international marketing follow some restrictions in foreign exchange.

### **Sensitive character**

International marketing is highly sensitive and flexible. The demand for a product in a market is highly influenced by political and economic factors. These factors can create as well as decrease the demand for a product. In fact, use of advanced technology by a competitor or the launch of a new product by another competitor may affect the sale of a firm's product worldwide.

### **Importance of Advanced Technology**

International market is dominated by developed countries like the USA, Japan, and Germany as they use highly advanced technology in production, marketing, advertising and establishing a brand name. They provide admirable quality of products at reasonable prices. Presently, Japanese products have got substantial existence in markets around the world. The Japanese could achieve this only because of automation and effective use of advanced computer technology.

### **Need for specialized institutions**

Marketing at global level is highly prone to risks & is very complex and knotty. It undergoes lengthy and time taking procedures & formalities. Competent expertise is required for handling various sections of international marketing.

### **Need for long term planning**

International marketing calls for long term planning. Marketing practices differ from nation to nation influenced by social, economic & political factors.

### **Lengthy & Time Consuming**

The current trend of globalization does not limit companies to their national borders and invites them for marketing on a higher platform, i.e., international platform. Every nation is free to trade with any nation. New markets are indicating signs of growth and are marking signs of development in economies like China, Indonesia, India, Korea, Mexico, Chile, Brazil, Argentina, and many other economies all over the world.

## **1.6.Strategic International Marketing**

Consequently, the orientation can best be described as an environmental/ cultural approach to international strategic marketing. By no means is it intended to present principles of marketing; rather, it is intended to demonstrate the unique problems of international marketing. It attempts to relate the foreign environment to the marketing process and to illustrate the many ways in which culture can influence the marketing task. Although marketing principles are universally applicable, the cultural environment within which the marketer must implement marketing plans can change dramatically from country to country.

### **1.6.1. Phases of International Marketing Involvement**

The literature describes several stages of internationalization. Many companies may have begun as domestic firms concentrating on their own domestic markets before shifting or expanding the focus to also cover international markets. Any company marketing in or into any other country or groups of countries, however slight the involvement or the method of involvement. Hence, international marketing ranges from the marketing and business practices of small exporters. Once a company has decided to go international, it should decide the degree of marketing involvement and commitment it is prepared to make. These decisions should reflect considerable study and analysis of market potential and company capabilities a process not always followed.

Research has revealed several factors favoring faster internationalization:

- (1) Companies with either high technology and/or marketing-based resources appear to be better equipped to internationalize than more traditional manufacturing kinds of companies;
- (2) Smaller home markets and larger production capacities appear to favor internationalization; and

(3) Firms with key managers well networked internationally can accelerate the internationalization process.

Many companies begin tentatively in international marketing, growing as they gain experience and gradually changing strategy and tactics as they become more committed. Others enter international marketing after much research and with fully developed long-range plans, prepared to make investments to acquire a market position and often evincing bursts of international activities. As they become more international, they are supposed to move from being sporadic / irregular exporters to being frequent exporters before finally doing manufacturing abroad.

One study found evidence to support the hypothesis that there are four identifiable stages in a firm's internationalization. The four stages are: non-exporters, export intenders, sporadic exporters, and regular exporters. The process shows how firms were constrained initially by resource limitations and a lack of export commitment, and how they can become more and more internationalized as more resources are allocated to international activity.

### **Cateora's International Marketing Involvement**

#### **a. No direct foreign Marketing**

A company in this stage does not actively cultivate customers outside national boundaries; however, this company's products may reach foreign markets. Sales may be made to trading companies as well as foreign customers who directly contact the firm. Or products may reach foreign markets via domestic wholesalers or distributors who sell abroad without the explicit encouragement or even knowledge of the producer. As companies develop Web sites on the Internet, many receive orders from international Internet users. Often an unsolicited order from a foreign buyer is what piques the interest of a company to seek additional international sales.

#### **b. Infrequent Foreign Marketing – Reactive**

Temporary surpluses caused by variations in production levels or demand may result in infrequent marketing overseas. The surpluses are characterized by their temporary

nature; therefore, sales to foreign markets are made as goods become available, with little or no intention of maintaining continuous market representation. As domestic demand increases and absorbs surpluses, foreign sales activity is reduced or even withdrawn. In this stage, little or no change is seen in the company organization or product lines. However, few companies fit this model today, because customers around the world increasingly seek long term commercial relationships. Furthermore, evidence suggests that financial returns from such short-term international expansions are limited.

The first two stages of international marketing involvement are more reactive in nature and most often do not represent careful strategic thinking about international expansion. Indeed, putting strategic thinking on the back burner has resulted in marketing failures for even the largest companies.

The consensus of researchers and authors in this area suggests three relatively distinct approaches to strategic decisions in firms involved in international markets:

1. Regular foreign marketing
2. Multi domestic or international marketing
3. Global marketing

Next, we discuss each of the three stages (and their associated strategic orientations) in turn.

### **c. Regular Foreign Marketing - *Proactive***

At this level, the firm has permanent productive capacity devoted to the production of goods and services to be marketed in foreign markets. A firm may employ foreign or domestic overseas intermediaries, or it may have its own sales force or sales subsidiaries in important foreign markets. The primary focus of operations and production is to service domestic market needs. However, as overseas demand grows, production is allocated for foreign markets, and products may be adapted to meet the needs of individual foreign markets. Profit expectations from foreign markets move from being a bonus in addition to regular domestic profits to a position in which the company becomes dependent on foreign sales and profits to meet its goals.

#### **d. International Marketing – Proactive**

Companies in this stage are fully committed to and involved in international marketing activities. Such companies seek markets all over the world and sell products that are a result of planned production for markets in various countries.

This planning generally entails not only the marketing but also the production of goods outside the home market. At this point, a company becomes an international or multinational marketing firm.

#### **e. Global Marketing – Proactive**

At the global marketing level, the most profound change is the orientation of the company toward markets and associated planning activities. At this stage, companies treat the world, including their home market, as one market. Market segmentation decisions are no longer focused on national borders. Instead, market segments are defined by income levels, usage patterns, or other factors that frequently span countries and regions. Often this transition from international marketing to global marketing is catalyzed by a company's crossing the threshold at which more than half its sales revenues comes from abroad. The best people in the company begin to seek international assignments, and the entire operation organizational structure, sources of finance, production, marketing, and so forth begins to take on a global perspective.

International operations of businesses in global marketing reflect the heightened competitiveness brought about by the globalization of markets, interdependence of the world's economies, and the growing number of competing firms from developed and developing countries vying for the world's markets. *Global companies* and *global marketing* are terms frequently used to describe the scope of operations and marketing management orientation of companies in this stage.

#### **Global Market Orientation**

This orientation entails operating as if all the country markets in a company's scope of operations (including the domestic market) were approachable as a single global market and standardizing the marketing mix where culturally feasible and cost effective.

Depending on the product and market, firms may pursue a global market strategy for one product (global market orientation –P&G diapers) but a multi domestic strategy for another product (international market orientation = P&G detergents).

More recently, an increasingly global economy has given birth to a new theory which states that some companies are intended to go global from the outset, thus bypassing the stages of internationalization.

## **1.7.Opportunities and challenges of International Marketing**

### **Opportunities of International Marketing**

International marketing daily affects consumers in many ways, though its opportunities is neither well understood nor appreciated. Government officials and other observers seem always to point to the negative aspects of international business. Many of their charges are more imaginary than real.

#### **Survival and growth**

For companies to survive, they need to grow. Because most countries are not as fortunate as the USA in terms of market size, resources, and opportunities, they must trade with others to survive. Since most European nations are relatively small, they need foreign markets to achieve economies of scale to be competitive with American firms. International competition may not be a matter of choice when survival is at stake. A study of five medical sector industries found that international expansion was necessary when foreign firms entered a domestic market. However, only firms with previously substantial market share and international experience could expand successfully

#### **Sales and profits**

Foreign markets constitute a large share of the total business of many firms that have wisely cultivated markets abroad. The case of Coca-Cola clearly emphasizes the importance of overseas markets. International sales account for more than 80 percent of the firm's operating profits. For every gallon of soda that Coca-Cola sells, it earns 37 cents in Japan – a marked difference from the mere 7 cents per gallon earned in the USA.

The Japanese market contributes about \$350 million in operating income to Coca-Cola (vs. \$324 million in the US market), making Japan the company's most profitable market

### **Diversification**

Demand for most products is affected by such cyclical factors as recession and such seasonal factors as climate. The unfortunate consequence of these variables is sales fluctuations, which can frequently be substantial enough to cause layoffs of personnel. One way to diversify a company's risk is to consider foreign markets as a solution to variable demand

### **Inflation and price moderation**

The benefits of export are readily self-evident. Imports can also be highly beneficial to a country because they constitute reserve capacity for the local economy. Without imports (or with severely restricted imports), there is no incentive for domestic firms to moderate their prices. The lack of imported product alternatives forces consumers to pay more, resulting in inflation and excessive profits for local firms. This development usually acts as a prelude to workers' demand for higher wages; further worsen the problem of inflation

### **Employment**

Trade restrictions, such as the high tariffs caused by the 1930 Smoot-Hawley Bill, which forced the average tariff rates across the board to climb above 60 percent, contributed significantly to the Great Depression and have the potential to cause widespread unemployment again. Unrestricted trade, on the other hand, improves the world's GDP and enhances employment generally for all nations. Unfortunately, there is no question that globalization is bound to hurt some workers whose employers are not cost competitive. Some employers may also have to move certain jobs overseas to reduce costs. Consequently, some workers will inevitably be unemployed

### **Standards of living**



Trade affords countries and their citizen's higher standards of living than otherwise possible. Without trade, product shortages force people to pay more for less. Products taken for granted, such as coffee and bananas, may become unavailable overnight.

### **Understanding of marketing process**

International marketing should not be considered a subset or special case of domestic marketing. When an executive is required to observe marketing in other cultures, the benefit derived is not so much the understanding of a foreign culture. Instead, the real benefit is that the executive develops a better understanding of marketing in one's own culture.

### **Protection of Local Industries**

While countries generally do not mind exporting, they simply do not like imports. Per a survey of more than 28,000 people in twenty-three countries, even well-educated workers in poorer countries are against free trade. In addition, workers in the industries that face foreign competition tend to be against free trade. On the other hand, well-educated people in well-educated countries are more likely to favor trade.

Arguments for protectionism:

- Protection of infant industry
- Protection of the home market
- Need to keep money at home
- Encouragement of capital accumulation
- Maintenance of the standard of living and real wages
- Conservation of natural resources
- Industrialization of a low-wage nation
- Maintenance of employment and reduction of unemployment

- National defense
- Increase of business size
- Retaliation and bargaining

### ***Challenge of International Marketing***

The modern world is organized on the theory that each nation state is sovereign and independent from other countries. In reality, however, no country can completely isolate its internal affairs from external forces. Even the most inward-looking regimes have realized the limitations of their own resources as well as the benefits of opening up their borders. This major change in the orientation of most regimes has led to an enormous amount of activity in the international marketplace. A global economic boom in the last decade of twentieth century has been one of the drivers for efficiency, productivity and open, unregulated markets that swept the world.

1. Never before in world history have businesses been so deeply involved in and affected by international global developments. Powerful economic, technological, industrial, political and demographic forces are converging to build the foundation of a new global economic order on which the structure of a world economic and market system will be built.
2. Whether or not a company wants to participate directly in international business, it cannot escape the effect of the ever-increasing number of domestic firms exporting, importing, and/or manufacturing abroad; the number of foreign-based firms operating in most markets; the growth of regional trade areas; the rapid growth of world markets; and the increasing number of competitors for global markets. Of all the trends affecting global business today, five stand out as the most dynamic and as the ones that are influencing the shape of international business:
  - I. The interdependence of the world economies.

- II. The rapid growth of regional free trade areas such as EU, NAFTA, ASEAN and APEC.
- III. The increase in wealth and growth in most parts of the world, causing enhanced purchasing power.
- IV. The evolution of large emerging markets such as Brazil, China, India, Malaysia, Russia, Hungary and Poland.
- V. Availability of advanced methods of communication and transportation due to developments in information technology.

These forces affecting the international business have led to a dramatic growth in international trade and have contributed to a perception that world has become a smaller and interdependent place.

- 3. If we look at the Swiss Multinational Company, Nestlé, ‘The Food Company of the World’, it claims its products are sold in every country in the world. It has factories in more than 80 countries and it has many brands that are recognised all over the world.
- 4. Toyota and its subsidiaries sell their cars in more than 170 countries, giving it a presence in more countries than any other auto manufacturer.
- 5. Today most business activities are global in scope. Finance, technology, research, capital and investment flows, production facilities, purchasing and marketing and distribution networks all have global dimensions. Every business must be prepared to compete in an increasingly interdependent global economic environment, and all business people must be aware of the effects of these trends when managing a multinational conglomerate or a domestic company that exports.

As one international expert noted, ‘every company is international, at least to the extent that its business performance is conditioned in part by events that occur abroad.

6. Even companies that do not operate in the international arena are affected to some degree by the success of the European Union, the post 9-11 political economy and the economic changes taking place in China and India. The aftermath of 9-11 and the war in Afghanistan and Iraq have changed the political as well as economic scene.

### **1.8. International product life cycle**

The Three Stages of the International Product Life Cycle Theory. The International Product Life Cycle Theory was authored by Raymond Vernon in the 1960s to explain the cycle that products go through when exposed to an international market. The cycle describes how a product matures and declines because of internationalization. There are three stages contained within the theory.

#### **New Product Introduction**

The cycle always begins with the introduction of a new product. In this stage a corporation in a developed country will innovate a new product. The market for this product will be small and sales will be relatively low thus. As sales increase, corporations may start to export the product out to other developed nations to increase sales and revenue. It's a straightforward step towards the internationalization of a product because the appetites of people within developed nations tends to be quite similar.

#### **Product Maturing**

At this point, when the product has firmly established demand in developed countries, the manufacturer of the product will need to consider opening production plants locally in each developed country to meet the demand. As the product is being produced locally, labor costs and export and costs will decrease thereby reducing the unit cost and increasing revenue. Product development can still occur at this point as there is still room to adapt and modify the product if needed. Appetites for the product in developed nations will continue to increase in this stage.

Although the unit costs have decreased due to the decision to produce the product locally, the manufacture of the product will still require a highly skilled labor force. Local

competition to offer alternatives start to form. The increased product exposure begins to reach the countries that have a less developed economy, and demand from these nations start to grow.

### **Product Standardization**

Exports to nations with a less developed economy begin in earnest. Competitive product offers saturate the market which means that the original purveyor of the product loses their competitive edge because of innovation. In response to this, rather than continuing to add new features to the product, the corporation focuses on driving down the cost of the process to manufacture the product. They do this by moving production to nations where the average income is much lower and standardizing and streamlining the manufacturing methods needed to make the product.

The local workforce in lower income nations are then exposed to the technology and methods to make the product and competitors begin to rise as they did in developed nations previously. Meanwhile, demand in the original nation where the product came from begins to decline and eventually dwindles as a new product grabs the attention of the people.

### **Concepts of foreign exchange and balance of payment**

Terms of trade – is the relationship between the average unit value of exports and imports. It is the rate at which one country's products exchange for those of another. It is the ratio of export to import prices. The terms of trade are said to be favorable to a country when the prices of its exports are high relatively to the price of its imports. The opposite is true when prices of its exports are low relatively to the price of its imports.

Balance of payments is the set of accounts (a systematic record) which shows all the economic transactions which take place between residents of one country and the residents of all other countries during a given time, usually one year. In general terms, a country's balance of payments can be described under two main headings (major categories): the current account and the capital account.

#### **A. The Current Account**

The current account – is related with the country's current national income and current expenditures. This account includes both visible and invisible items. The visible imports and exports consist of physical merchandise of all kinds whereas the invisible imports and exports are mainly services and come under the following major headings: net income from services rendered by residents to non-residents (this includes tourism, shipping and various financial services like insurance and banking); the balance of gifts and the transfer of migrant's funds; net grants by the government to other countries, interest, profits and dividends. It follows that an excess of imports over exports will give rise to a current account deficit and an excess of exports over imports will give rise to a current account surplus.

### **B. The Capital Account**

Includes both long-term and short-term capital movements between the home country and all other countries. The long-term capital movements include direct foreign investment, portfolio investments (which involve the purchasing of the securities of a foreign company or government) and inter-governmental loans. The short-term capital movements include all forms of short-term private lending and short-term investments many of which are designed to exploit international interest rate differentials. The capital account also includes the official financing required to cover any overall deficit or surplus in the rest of the accounts. Official reserve transactions include 'net changes in the country's reserves' or monetary gold stock, holdings of convertible foreign currencies or foreign currency borrowing and net transactions with any monetary authorities.

### **Balance of trade**

Is the difference between exports and imports? It is regarded as favorable when exports exceed imports and as unfavorable when imports exceed exports.

### **Foreign Exchange**

Exports and imports between nations with different units of money introduce a new economic factor: The foreign exchange rate. **Foreign exchange** is the monetary mechanism by which transactions involving two or more currencies take place. It is the exchange of one country's money for another country's money. It is the price of a

foreign country's unit of money in terms of our own. Three types of exchange rate systems:

- The working of the gold standard
- Pure floating exchange rates
- Managed floating exchange rate

### **1.9.Barriers to international trade**

- Tariffs
- Nontariff barriers
  1. Government participation in trade
  2. Customs and entry procedures
  3. Product requirements
  4. Quotas
  5. Financial controls.

### **Tariffs**

Tariffs are taxes imposed by a government on goods entering its borders. Tariff, derived from a French word meaning rate, price, or list of charges, is a customs duty or a tax on products that move across borders. Tariffs may be classified in several ways. The classification scheme used here is based on direction, purpose, length, rate, and distribution point. These classifications are not necessarily mutually exclusive.

#### **Direction: import and export tariffs**

Tariffs are often imposed based on the direction of product movement; that is, on imports or exports, with the latter being the less common one. When export tariffs are levied, they usually apply to an exporting country's scarce resources or raw materials (rather than finished manufactured products)

### **Purpose: protective and revenue tariffs**

Tariffs may be classified as protective tariffs and revenue tariffs. This distinction is based on purpose. The purpose of a protective tariff is to protect home industry, agriculture, and labor against foreign competitors by trying to keep foreign goods out of the country. The purpose of a revenue tariff, in contrast, is to generate tax revenues for the government. Compared to a protective tariff, a revenue tariff is relatively low. As in the case of the EU, it applies tariffs of up to 236 percent on meat and 180 percent on cereals, while its tariffs on raw materials and electronics rarely exceed 5 percent.

### **Length: tariff surcharge versus countervailing duty**

Protective tariffs may be further classified per length of time. A tariff surcharge is a temporary action, whereas a countervailing duty is a permanent surcharge. Countervailing duties are imposed on certain imports when products are subsidized by foreign governments. These duties are thus assessed to offset a special advantage or discount allowed by an exporter's government. Usually, a government provides an export subsidy by rebating certain taxes if goods are exported.

### **Rates: specific, ad valorem, and combined**

How are tax rates applied? To understand the computation, three kinds of tax rates must be distinguished: specific, ad valorem, and combined

#### **Specific duties**

Specific duties are a fixed or specified amount of money per unit of weight, gauge, or other measure of quantity. Based on a standard physical unit of a product, they are specific rates of so many dollars or cents for a given unit of measure

#### **Ad valorem duties**



Ad valorem duties are duties “per value.” They are stated as a fixed percentage of the invoice value and applied at a percentage to the dutiable value of the imported goods. This is the opposite of specific duties since the percentage is fixed but the total duty is not.

**Combined rates** **Combined rates (or compound duty)** are a combination of the specific and ad valorem duties on a single product. They are duties based on both the specific rate and the ad valorem rate that are applied to an imported product.

### **Marketing Barriers: Nontariff Barriers**

Tariffs, though generally undesirable, are at least straightforward and obvious. Nontariff barriers, in comparison, are more elusive or nontransparent. Tariffs have declined in importance, reaching the lowest level ever of about 4 percent on average after fifty years and eight global rounds of trade negotiation. Nontariff barriers may be grouped into five major categories. Each category contains many different nontariff barriers.

#### **1. Government participation in trade**

The degree of government involvement in trade varies from passive to active. The types of participation include administrative guidance, state trading, and subsidies.

##### **a. Administrative guidance**

Many governments routinely provide trade consultation to private companies. Japan has been doing this on a regular basis to help implement its industrial policies. This systematic cooperation between government and business is labeled “Japan, Inc.”

##### **b. Government procurement and state trading**

State trading is the ultimate in government participation, because the government itself is now the customer or buyer who determines what, when, where, how, and how much to buy.

##### **c. Subsidies**

Per GATT, subsidy is a “financial contribution provided directly or indirectly by a government. There are several other kinds of subsidies that are not so obvious.

Brazil's rebate of the various taxes, coupled with other forms of assistance, may be viewed as subsidies. Sheltered profit is another kind of subsidy. A country may allow a corporation to shelter its profit from abroad.

## **2. Customs and entry procedures**

Customs and entry procedures may be employed as nontariff barriers. These restrictions involve classification, valuation, documentation, license, inspection, and health and safety regulations.

### **a. Classification**

How a product is classified can be arbitrary and inconsistent and is often based on a customs officer's judgment, at least at the time of entry. Product classification is important because the way in which a product is classified determines its duty status. A company can sometimes act to affect the classification of its product.

### **b. Valuation**

Regardless of how products are classified, each product must still be valued. The value affects the number of tariffs levied. A customs appraiser is the one who determines the value. The process can be highly subjective, and the valuation of a product may be interpreted in different ways, depending on what value is used (e.g., foreign, export, import, or manufacturing costs) and how this value is constructed.

### **c. Documentation**

Documentation can present another problem at entry because many documents and forms are often necessary, and the documents required can be complicated. Without proper documentation, goods may not be cleared through customs. At the very least, such complicated and lengthy documents serve to slow down product clearance

### **d. License or permit**

Not all products can be freely imported; controlled imports require licenses or permits. For example, importations of distilled spirits, wines, malt beverages,

arms, ammunition, and explosives into the USA require a license issued by the Bureau of Alcohol, Tobacco, and Firearms. India requires a license for all imported goods

#### **e. Inspection**

Inspection is an integral part of product clearance. Goods must be examined to determine quality and quantity. This step is closely related to other customs and entry procedures. First, inspection classifies and values products for tariff purposes.

Second, inspection reveals whether imported items are consistent with those specified in the accompanying documents and whether such items require any licenses. Third, inspection determines whether products meet health and safety regulations to make certain that food products are fit for human consumption or that the products can be operated safely. Fourth, inspection prevents the importation of prohibited articles/items/

#### **f. Health and safety regulations**

Many products are subject to health and safety regulations, which are necessary to protect the public health and environment. Health and safety regulations are not restricted to agricultural products. The regulations also apply to TV receivers, microwave ovens, X-ray devices, cosmetics, chemical substances, and clothing

### **3. Product requirements**

For goods to enter a country, product requirements set by that country must be met. Requirements may apply to product standards and product specifications as well as to packaging, labeling, and marking.

#### **a. Product standards**

Each country determines its own product standards to protect the health and safety of its consumers. Such standards may also be erected as barriers to prevent or slow down importation of foreign goods. Because of US grade, size, quality, and maturity requirements, many Mexican agricultural commodities are barred from

entering the USA. Japanese product standards are even more complex, and they are based on physical characteristics rather than product performance

#### **b. Packaging, labeling, and marking**

Packaging, labeling, and marking are considered together because they are closely interrelated. Many products must be packaged in a certain way for safety and other reasons

#### **c. Product testing**

Many products must be tested to determine their safety and suitability before they can be marketed. The various means by which manufacturers can certify product conformance include manufacturer self-declaration of conformity, third-party testing, quality assurance audit, and/or approval by an authorized body.

#### **d. Product specifications**

Product specifications, though appearing to be an innocent process, can wreak havoc on imports. Specifications can be written in such a way as to favor local bidders and to keep out foreign suppliers. For example, specifications can be extremely detailed, or they can be written to closely resemble domestic products. Thus, they may be used against foreign suppliers who cannot satisfy the specifications without expensive or lengthy modification.

### **4. Quotas**

Quotas are a quantity control on imported goods. Generally, they are specific provisions limiting the number of foreign products imported to protect local firms and to conserve foreign currency. An export quota is sometimes required by national planning to preserve scarce resources.

### **5. Financial control**

Financial regulations can also function to restrict international trade. These restrictive monetary policies are designed to control capital flow so that currencies can be defended or imports controlled.

### **a. Exchange control**

An exchange control is a technique that limits the amount of the currency that may be taken abroad. The reason exchange controls are usually applied is that the local currency is overvalued, thus causing imports to be paid for in smaller amounts of currency. Purchasers then try to use the relatively cheap foreign exchange to obtain items that are either unavailable or more expensive in the local currency.

### **b. Multiple exchange rates**

Multiple exchange rates are another form of exchange regulation or barrier. The objectives of multiple exchange rates are twofold: to encourage exports and imports of certain goods, and to discourage exports and imports of others. This means that there is no single rate for all products or industries, but with the application of multiple exchange rates, some products and industries will benefit and some will not.

### **c. Prior import deposits and credit restrictions**

Financial barriers may also include specific limitations on import restraints, such as prior import deposits and credit restrictions. Both barriers operate by imposing certain financial restriction on importers. A government can require prior import deposits (forced deposits) that make imports difficult by tying up an importer's capital. Credit restrictions apply only to imports; that is, exporters may be able to obtain loans from the government, usually at very favorable rates, but importers will not be able to receive any credit or financing from the government.

## **Chapter Two**

### **INTERNATIONAL MARKETING ENVIRONMENT**

One of the fundamental steps that needs to be taken prior to beginning international marketing is the environmental analysis. Of course, there are many tools on Marketing Teacher that would prove useful at this stage such as lessons on the marketing environment, PEST Analysis, SWOT Analysis, and Five Forces Analysis. However, the

very specific and unique nature of each individual nation needs to be considered. Below we consider the nature of an international PEST Analysis.

## 2.1 Cultural Environment

Culture prescribes acceptable beliefs, traditions, customs, and values that are then socially shared. Culture is subjective, enduring yet dynamic, and cumulative. It affects people's behavior in diverse ways through logic, communication, and consumption. Although some cultural traits are universal, many others are unique and vary from country to country. And despite national norms, cultural differences as a rule even exist within each country. While there may be a tendency to misunderstand different cultures and subcultures, this temptation should be resisted.

Many companies modify their products and/or promotion strategies to suit the tastes and preferences or other characteristics of the population of the different countries. Significant differences in the tastes and preferences may exist even within the same country, particularly when the country is very vast, populous and multi-cultural like Ethiopia.

For a business to be successful, its strategy should be the one that is appropriate in the socio-cultural environment. The marketing mix must be so designed as best to suit the environmental characteristics of the market. In Thailand, Helene Curtis switched to black shampoo because Thai women felt that it made their hair look glossier.

Even when people of different cultures use the same basic product, the mode of consumption, conditions of use, purpose of use or the perceptions of the product attributes may vary so much so that the product attributes, method of presentation, positioning, or method of promoting the product may have to be varied to suit the characteristics of different markets.

The differences in language sometime pose a serious problem, even necessitating a change in the brand name. For instance, Chevrolet's brand name Nova in Spanish means "it doesn't go". In some languages, Pepsi-Cola's slogan "come alive" translates as "come out of the grave". The values and beliefs associated with color vary significantly between

different cultures. White indicates death and mourning in China and Korea; but in some countries, it expresses happiness and is the color of the bridal dress.

While dealing with the cultural environment, we must also consider the social environment of the business which encompasses its social responsibility and the alertness or vigilance of the consumers and of society at large. Marketing people are at interface between company and society. In this position, they have the responsibility not merely for designing a competitive marketing strategy, but for sensitizing business to the social as well as the product, demand of the society.

### **Environmental Adjustment Needed**

To adjust and adapt a marketing program to foreign markets, marketers must be able to interpret effectively the influence and impact of each of the uncontrollable environmental elements on the marketing plan for each foreign market in which they hope to do business. In a broad sense, the uncontrollable elements constitute the culture; the difficulty facing the marketer in adjusting to the culture (i.e. uncontrollable elements of the marketplace) lies in recognizing their impact. In a domestic market, the reaction to much of the uncontrollable' (cultural) impact on the marketer's activities is automatic; the various cultural influences that fill our lives are simply a part of our history.

For example, a Westerner must learn that white is a symbol of mourning in parts of Asia, quite different from Western culture's white for bridal gowns. Also, time conscious Westerners are not culturally prepared to understand the meaning of time to Latin Americans or Arabs. These differences must be learned to avoid misunderstandings that can lead to marketing failures. Such a failure occurred in the one situation when ignorance led to ineffective advertising on the part of a Western firm; and a second misunderstanding resulted in lost sales when a 'long waiting period' in the outer office of an emerging market customer was misinterpreted by a Western sales executive.

To avoid such errors, the foreign marketer should be aware of the principle of marketing relativism, that is, marketing strategies and judgements are based on experience, and experience is interpreted by each marketer in terms of his or her own culture and experience. We take into the marketplace, at home or in a foreign country, frames of reference developed from past experiences that determine or modify our reactions to the

situations we face. Cultural conditioning is like an iceberg we are not aware of nine-tenths of it. In any study of the market systems of different people, their political and economic structures, religions and other elements of culture, foreign marketers must constantly guard against measuring and assessing the markets against the fixed values and assumptions of their own cultures. They must take specific steps to make themselves aware of the home cultural reference in their analyses and decision making.

## 2.2 Economic environment

The general state of both national and international economies can have a profound effect on an individual company's success or failure. Most of the world's economies went through a significant growth period in the late 1990s, driven mainly by developments in telecommunications and computing.

Global Economic Forces:

- **Economic Growth and Unemployment:** the level of new industrial growth? E.g. China is experiencing terrific industrial growth. Low growth rates are reflected in high unemployment levels, which in turn affect consumers spending power.
- **Interest Rates and Exchange Rates:** the impact of currency fluctuations on exchange rates, and do your home market and your new international market share a common currency. E.g. Polish companies trading in Eire will use Euros. One of the levers that governments can use to manage the economy is interest rates. Interest rates are the rate at which money is borrowed by businesses and individuals. Throughout the world, interest rates are historically low.
- **Development of Economic Areas:** There are of course the usual economic indicators that one needs to be aware of such as inflation, Gross Domestic Product (GDP), levels of employment, national income, the predisposition of consumers to spend savings or to use credit, as well as many others. Europe and Japan have suffered a sharp economic slowdown over the past decade. To rekindle growth, they need to



encourage competition (especially in the services sector), which will, in turn, boost productivity growth, the most desirable source of growth in all economies.

### 2.3 Political – Legal environment

The international marketer's political environment is complex and difficult due to the interaction among domestic, foreign, and international politics. If a product is imported or produced overseas, political groups and labor organizations accuse the marketer of taking jobs from people in the home country. On the other hand, foreign governments are not always receptive to overseas capital and investment because of suspicions about the marketer's motives and commitment. When both the host country and the home country have different political and national interests, their conflicting policies can complicate the problem further.

Marketing decisions are thus affected by political considerations. When investing in a foreign country, companies must be sensitive to that country's political concerns. Because of the dynamic nature of politics in general, companies should prepare a contingency plan to cope with changes that occur in the political environment.

The International Marketing activities take place within the political environment of national political institutions such as the government, political executive, legislative and the judiciary. Any company doing business overseas should carefully study the political environment of the country it intends to operate and analyze issues such as the attitude of the political party in power toward: Sovereignty, Political Risk, Taxes, Threat of Equity dilution and Expropriation.

#### **a. Sovereignty:**

The sovereign political power of a country in a command economy may determine every aspect of economic life of the people. In contrast, in a market economy, the government may only play the role of a facilitator and a regulator. However, after the fall of the Soviet Union, the command economics around the world have progressed towards a market oriented system. Eastern European countries, countries in Central America, and most importantly, India and China have also adopted the free market system. With globalization and economic integration, political sovereignty of individual nation states is

on the wane. However, erosion of political sovereignty is not without a quid pro quo. There are definite economic advantages in forging a regional economic union as exemplified in cases such as the European Union, NAFTA, ASEAN and others.

**b. Political Risk:**

There is always a political risk involved in making investments both within and without the country. The element of risk and its severity is relatively high in foreign countries. More objectively, the extent of political risk depends upon the political stability of the host country. An unstable country is fraught with investment risks. A country needs to be stable both internally and externally. Frequent changes in the government and attendant changes in the economic policy of the government will increase the element of uncertainty and adversely effect upon a company's ability to operate effectively in a foreign country. Investments in highly destabilized countries like Yemen, Lebanon, Afghanistan and Iraq may be very attractive economically speaking but the political risks involved are overwhelming. Political instability is therefore a great deterrent to foreign investment. To justify investment in a foreign country, risk assessment should be undertaken on a regular basis and investments should be made only when opportunities to make profits are much greater than the risks involved.

**c. Taxes:**

A company which is geographically diversified needs to take care of the tax laws of the countries in which it operates. Companies, generally minimize their tax liability by shifting the location of their income. One method of reducing tax liability is called earnings stripping. Foreign companies reduce earnings by making loans to their affiliates in a country rather than making direct foreign investment. The subsidiary company which takes the loan can deduct the interest it pays on such loans and reduce its tax burden. There is an absence of international laws to govern the levy of taxes on companies that are into international business. To provide fair treatment, governments in many countries have negotiated bilateral tax treaties to provide tax credits for taxes paid abroad. Generally foreign companies are taxed by the host country up to the level imposed in the home country.

**d. Equity Stripping and Dilution of Control:**

In less developed countries, there is a general tendency to exert political pressure for governmental control of foreign companies. Host-nation governments may attempt to control ownership of foreign-owned companies operating in their Countries. The threat of equity dilution has forced companies to operate in host countries through joint ventures and strategic alliances.

**e. Expropriation:**

Expropriation is the ultimate threat that a government can pose toward a foreign company. Expropriation refers to governmental action to dispossess a company investor. Generally, compensation is provided to foreign investors. However, quite often, the compensation is not prompt, adequate and effective. If there is no compensation, then the act of expropriation would be termed as confiscation..

**International Marketing - Political Risk**

The liability caused by the financial or personnel losses because of wrong political decisions or conflicts are known as political risks. Apart from the market based causes, business is highly influenced by political decisions taken by the governments in different countries. For example, political decisions by a ruling party regarding taxes currency, trade tariffs, investment, labor laws, environmental regulations and development priorities have a major impact on the business conditions and profitability which thereby may affect the national economy. Similarly, non-economic factors can also alter the status of a business.

To minimize political risk, companies should attempt to accommodate the host country's national interests by stimulating the economy, employing nationals, sharing business ownership with local firms, and being civic oriented. On the other hand, to protect their own economic interests, companies should maintain political neutrality, lobby quietly for their goals, and shift risks to a third party through the purchase of political insurance. Finally, a company should institute a monitoring system that allows it to systematically and routinely evaluate the political situation.

Some companies view politics as an obstacle to their effort to enter foreign markets and as a barrier to the efficient use of resources. For other companies, political problems, instead of being perceived as entry barriers, are challenges and opportunities. For firms with the more optimistic view, political situations are merely environmental conditions that can be overcome and managed. Political risks, through skillful adaptation and control, can thus be reduced or neutralized.

Because of the variety of legal systems and the different interpretations and enforcement mechanisms, the discussion must, of necessity, be somewhat general. Based on the same rationale, it is impossible for the top management and legal staff at corporate headquarters to completely master the knowledge of foreign law on their own. To appreciate the problem and subtlety of foreign law, it is clearly necessary to consult local attorneys to find out how a company's operation may be constrained by laws. To deal with problems related to bribery, incorporation, counterfeiting, and infringement, the services of local attorneys are essential. Just as essential is the cooperation of the governments of both the host and home countries.

The legal environment is complex and dynamic, with different countries claiming jurisdiction (or a lack of jurisdiction) over business operations. The interaction among domestic, foreign, and international legal environments creates new obstacles as well as new opportunities. A host country may use an MNC's subsidiary in its country as a method of influencing the MNC and subsequently its home country's policies. Likewise, the home country may instruct the parent company to dictate its foreign subsidiary's activities. It is thus not uncommon to find a situation in which the firm is being pressured in opposing directions by two governments. However, the MNC can use its global network to counter such a threat by shifting or threatening to shift the affected operations to other countries, thus lessening the governments' influence on its behavior. It is this countervailing power that allows the company a great deal of freedom in adjusting its marketing mix strategies.

It is important to keep in mind that legal contracts and agreements can only be as good as the parties who create them and the countries that enforce them. Therefore, a contract

cannot be used as a substitute for trust and understanding between parties or careful screening of business partners.

## 2.4 Technological Environment

Copyright, intellectual property laws or patents protect technology in other countries. E.g. China and Jordan do not always respect international patents.

Due to the emergence of ICT and computing, technologies at different stages in the Product Life Cycle (PLC) in various countries. E.g. versions/releases of software.

## 2.5 Regional economic integration

### Levels of economic integration

Trade theorists have identified five levels of economic cooperation. They are: free trade area, customs union, common market, economic and monetary union, and political union.

#### a. Free trade area

In a free trade area, the countries involved eliminate duties among themselves, while maintaining separately their own tariffs against outsiders. Free trade areas include the NAFTA (North American Free Trade Agreement), the EFTA (European Free Trade Association), and the now defunct LAFTA (Latin American Free Trade Association). The purpose of a free trade area is to facilitate trade among member nations.

The problem with this kind of arrangement is the lack of coordination of tariffs against the nonmembers, enabling nonmembers to direct their exported products to enter the free trade area at the point of lowest external tariffs.

#### b. Customs

#### union

A customs union is an extension of the free trade area in the sense that member countries must also agree on a common schedule of identical tariff rates. In effect, the objective of the customs union is to harmonize trade regulations and to establish common barriers

against outsiders. Uniform tariffs and a common commercial policy against nonmembers are necessary to prevent them from taking advantage of the situation by shipping goods initially to a member country that has the lowest joint boundaries.

c. **Common**

**market**

A common market is a higher and more complex level of economic integration than either a free trade area or a customs union. In a common market, countries remove all customs and other restrictions on the movement of the factors of production (such as services, raw materials, labor, and capital) among the members of the common market. Thus, business laws and labor laws are standardized to ensure undistorted competition. For an outsider, the point of entry is no longer dictated by member countries' tariff rates since those rates are uniform across countries within the common market. The point of entry is now determined by the members' nontariff barriers. The outsider's strategy should be to enter a member country that has the least nontariff restrictions, because goods can be shipped freely once inside the common market.

d. **Economic and monetary union**

Cooperation among countries increases even more with an economic and monetary union (EMU). Some authorities prefer to distinguish a monetary union from an economic union. Monetary union means one money (i.e., a single currency). The Delors Committee, chaired by Jacques Delors, who is President of the European Commission, has issued a report entitled *Economic and Monetary Union in the European Community* that defines monetary union as having three basic characteristics: total and irreversible convertibility of currencies; complete freedom of capital movements in fully integrated financial markets; and irrevocably fixed exchange rates with no fluctuation margins between member currencies, leading ultimately to a single currency. The economic advantages of a single currency include the elimination of currency risk and lower transaction costs.

The European Commission's *One Market, One Money* report defines an economic union as a single market for goods, services, capital, and labor, complemented by common policies and coordination in several economic and structural areas.

#### **e. Political union**

A political union is the ultimate type of regional cooperation because it involves the integration of both economic and political policies. With France and Germany leading the way, the EU has been moving toward social, political, and economic integration. The EU's goal is to form a political union like the fifty states of the USA. The EU's debate over political union involves issues such as having common defense and foreign policies, strengthening the role of the EU Parliament, and adopting an EU-wide social policy. The EU, despite great strides, has been plagued by infighting among member states with conflicting national interests. Although the Treaty of Rome calls for a free internal market and permits market forces to equalize national economic differences, Germany, France, and the Netherlands – which have expensive social welfare programs – argue that the *social dimension* must be considered to prevent *social dumping*. In other words, they seek to prevent a movement of business and jobs away from areas with high wages and strong labor organizations to areas with low wages, less organized labor forces, and weak social welfare policies. Member countries accused of social dumping must subject their products to sanctions. To them, the Social Charter is nothing more than protectionism in the guise of harmonization. Such expensive policies are also a major concern to European industry. As may be expected, several initiatives are the subject of heated debate.

### **CHAPTER 4**

#### **INTERNATIONAL MARKETING PRODUCT POLICY**

A product is a collection of physical, psychological, service, and symbolic attributes that collectively yield satisfaction, or benefits, to a buyer or user. A number of frameworks for classifying products have been developed. A frequently used classification is based on users that are consumer and industrial products. Both types of goods, in turn, can be further classified on the basis of other criteria, such as how they are purchased (convenience, preference, shopping, and specialty goods) and their life span (durable,

nondurable, and disposable). These and other classification frameworks developed for domestic marketing are fully applicable to global marketing. The product classification and product life cycle you learn from principle of marketing are relevant here also. Let us see classification based on geographical coverage.

### ***7.1 Products: Local, National, International, and Global***

#### **1. Local products**

A local product is available in a portion of a national market. The term regional product is synonymous with local product. These products may be new products that a company is introducing using a rollout strategy or a product that is distributed exclusively in that region.

#### **2. National Products**

A national product is one that, in the context of a particular company, is offered in a single national market. Sometimes national products appear when a global company caters to the needs and preferences of particular country markets.

Similarly, Sony and other Japanese consumer electronics companies produce a variety of products that are not sold outside of Japan. The reason: Japanese consumers have a seemingly insatiable appetite for electronic gadgets.

#### **3. International Products**

International products are offered in multinational, regional markets. The classic international product is the Euro product, offered throughout Europe but not in the rest of the world. Renault was for many years a Euro product. When Renault entered the Brazilian market, it became a multiregional company. Most recently, Renault invested in Nissan and has taken control of the company. The combination of Renault in Europe and Latin America, and Nissan in Asia, the Americas, Europe, the Middle East and Africa, has catapulted Renault from a multiregional to a global position. Renault is an example of



how a company can move overnight through investment or acquisition from an international to a global position.

#### 4. Global Products and Global Brands

Global products are offered in global markets. Some global products were designed to meet the needs of a global market; others were designed to meet the needs of a national market but also, happily, meet the needs of a global market.

Note that a product is not a brand. For example, portable personal sound systems or personal stereos are a category of global product; Sony is a global brand. A global brand, like a national or international brand, is a symbol about which customers have beliefs or perceptions. Many companies, including Sony, make personal stereos. Sony created the category more than 10 years ago, when it introduced the Walkman. It is important to understand that marketers must create global brands; a global brand name can be used as an umbrella for introducing new products. Although Sony, as noted previously, markets a number of local products, the company also has a stellar track record both as a global brand and "a manufacturer of global products.

Global product differs from a global brand in one important respect: It does not carry the same name and image from country to country. Like the global brand, however, it is guided by the same strategic principles, is similarly positioned, and may have a marketing mix that varies from country to country. Whenever a company finds itself with global products, it faces an issue: Should the global product be turned into a global brand? This requires that the name and image of the product be standardized.

#### Product Positioning

Product positioning is a communications strategy based on the notion of mental "space" positioning refers to the act of locating a brand in customers' minds over and against other products in terms of product attributes and benefits that the brand does and does not offer.

### **7.2 Strategies for products positioning**

#### **1. Attribute or Benefit**

A frequently used positioning strategy exploits a particular product attribute, benefit, or feature. In global marketing, the fact that a product is imported can itself represent a benefit positioning. Economy, reliability, and durability are other frequently used attribute/benefit positions. Volvo automobiles are known for solid construction that offers safety in the event of a crash.

## **2. Quality/Price**

This strategy can be thought of in terms of a continuum from high fashion/quality and high price to good value (rather than low quality) at a low price.<sup>8</sup>The American Express Card, for example, has traditionally been positioned as an upscale card whose prestige justifies higher annual fees than VISA or MasterCard. Discover's value position results from no annual fee and a cash rebate to cardholders each year.

## **3. Use/User**

Positioning can also be achieved by describing how a product is used or associating a product with a user or class of users the same way in every market. For example, Benetton uses the same positioning for its clothing when it targets the global youth market.

Why choose Marlboro instead of another brand? Smoking Marlboro is a way of getting in touch with a powerful urge to be free and independent. Lack of physical space may be a reflection of the Marlboro user's own sense of "machoness" or a symbol of freedom and independence.

### ***7.3 Product Strategies in International marketing***

As you remember from principle of marketing there are various product strategies like penetration of existing markets, new-product development, diversification and new market search. When a company is engaging in global marketing it has five strategic alternatives to extend by combining product and promotion.

#### **1. Product/Communication Extension (Dual Extension)**

Many companies employ product/communication extension as a strategy for pursuing opportunities outside the home market. Under the right conditions, this is the easiest product marketing strategy. Companies pursuing this strategy sell exactly the same product, with the same advertising and promotional appeals as used in the home country, in some or all world-market countries or segments.

The product/ communication extension strategy has an enormous appeal to global companies because of the cost savings associated with this approach. The two most obvious sources of savings are manufacturing economies of scale and elimination of duplicate product R&D costs. There are also substantial economies associated with standardization of marketing communications. For a company with worldwide operations, the cost of preparing separate print and TV ads for each market can be enormous.

Although these cost savings are important, they should not distract executives from the more important objective of maximum profit performance, which may require the use of an adaptation or invention strategy. As we have seen, product extension, in spite of its immediate cost savings, may in fact result in market failure due to various environmental differences in the world.

## 2. Product Extension/Communication Adaptation

When a product fills a different need, appeals to a different segment, or serves a different function under conditions of use that are the same or similar to those in the domestic market, the only adjustment that may be required is in marketing communications. Bicycles and is examples of product that has been marketed with this approach. It satisfies recreational needs in the United States but serve as basic or urban transportation in Ethiopia.

The product extension/communication adaptation strategy either design or by accident- results in product transformation. The same physical product serving a different function or use than that for which it was originally designed.

The appeal of the product extension/communication adaptation strategy is it's relatively low cost of implementation. Because the product in this strategy is unchanged" R&D, tooling, manufacturing setup, and inventory costs associated with additions to the product line are avoided. The only costs of this approach are in identifying different product functions and revising marketing communications (including advertising, sales promotion, and point of-sale material) around the newly identified function.

## 3. Product Adaptation/Communication Extension

A third approach to global product planning is to extend, without change, the basic home-market communications strategy while adapting the product to local use or preference conditions. The critical difference is, as noted earlier, one of execution and mind-set.

Exxon adheres to this third strategy, it adapts its gasoline formulations to meet the weather conditions prevailing in different markets while extending the basic communications appeal, "Put a tiger in your tank," without change. There are many other examples of products that have been adjusted to perform the same function around the globe under different environmental conditions. Soap and detergent manufacturers have adjusted their product formulations to meet local water and washing equipment conditions with no change in their basic communications approach. Household appliances have been scaled to sizes appropriate to different use environments, and

clothing has been adapted to meet fashion criteria. Also, food products, by virtue of their potentially high degree of environmental sensitivity, are often adapted.

#### 4. Dual Adaptation

Sometimes, when comparing a new geographic market to the home market, marketers discover that environmental conditions or consumer preferences differ; the same may be true of the function a product serves or consumer receptivity to advertising appeals. Unilever's experience with fabric softener in Europe exemplifies the classic multinational road to adaptation. For years, the product was sold in 10 countries under seven different brand names, with different bottles and marketing strategies. Unilever's decentralized structure meant that product and marketing decisions were left to country managers. They chose names that had local-language appeal and selected 'package designs to fit local tastes.

Today, rival Procter & Gamble is introducing competitive products with a pan-European strategy of standardized products with single names, suggesting that the European market is more similar than Unilever assumed. In response, Unilever's European brand managers are attempting to move gradually toward standardization sometimes, a company will draw on all four of these strategies simultaneously when marketing a given product in different parts of the world. For example, Heinz utilizes a mix of strategies in its ketchup marketing. Whereas a dual extension strategy works in England, spicier, hotter formulations are also popular in Central Europe and Sweden. Recent ads in France featured a cowboy lassoing a bottle of ketchup and, thus, reminded consumers of 'the product's American heritage. Swedish ads conveyed a more cosmopolitan message; by promoting Heinz as "the taste of the big world" and featuring well known landmarks such as the Eiffel Tower, the ads disguised the product's origin.

#### 5. Product Invention

When potential customers have limited purchasing power, a company may need to develop an entirely new product, designed to satisfy the need or want at a price that is within the reach of the potential customer. Invention is a demanding but potentially rewarding product strategy for reaching mass markets in LDCs.

The winners in global competition are the companies that can develop products offering the most benefits, which in turn create the greatest value for buyers.

### **How to Choose a Strategy**

Most companies seek a product strategy that optimizes company profits over the long term. Which strategy for global markets best achieves this goal? There is, unfortunately, no general answer to this question. Rather, the answer depends on the specific product market-company mix. The choice of product and communications strategy in international marketing is a function of three key factors:

1. The product itself, defined in terms of the function or need it serves
2. The market, defined in terms of the conditions under which the product is used, the preferences of potential customer and the ability to buy the products in question and
3. The costs of adaptation and manufacture to the company considering these product/communications approaches. Only after analysis of the product/ market fit and of company capabilities and costs can executives choose the most profitable international strategy.

### **The international product life cycle theory**

The life cycle begins when a developed country, having a new product to satisfy consumer needs, wants to exploit its technological breakthrough by selling abroad. Other advanced nations soon start up their own production facilities, and before long LDCs do the same. Efficiency/comparative advantage shifts from developed countries to developing nations. Finally, advanced nations, no longer cost-effective, & import product.

## IPLC Curves



### Stages and Characteristics

There are five distinct stages (Stage 0 through Stage 4) in the IPLC. Table below shows the major characteristics of the IPLC stages, with the United States as the developer of the innovation in question. Exhibit shows three life-cycle curves for the same innovation: one for the initiating country (i.e., the United States in this instance), one for other advanced nations, and one for LDCs. For each curve, net export results when the curve is above the horizontal line; if under the horizontal line, net import results for that particular country.

### Stage 0-Local Innovation

Stage 0, depicted as time 0 on the left of the vertical importing/exporting axis, represents a regular and highly familiar product life cycle in operation within its original market. Innovations are most likely to occur in highly developed countries because consumers in such countries are affluent and have relatively unlimited wants. From the supply side, firms in advanced nations have both the technological know-how and abundant capital to develop new products. In most instances, regardless of whether a product is intended for later export or not, an innovation is initially designed with an eye to capture the Innovating nation market.

| Stage                   | Import/Export     | Target Market                              | Competitors      | Production Costs |
|-------------------------|-------------------|--------------------------------------------|------------------|------------------|
| (0) Local Innovation    | None              | Innovating nation                          | Few: Local Firms | Initially High   |
| (1) Overseas Innovation | Increasing Export | Innovating nation & other advanced nations | Few: Local firms | Decline          |
| (2) Maturity            | Stable Export     | Advanced & LDCs                            | Advanced Nations | Stable           |
| (3) Worldwide Imitation | Declining Export  | LDCs                                       | Advanced Nations | Increase         |
| (4) Reversal            | Increasing Import | Innovating nation                          | Advanced & LDCS  | Increase         |

### Stage 1-Overseas Innovation

As soon as the new product is well developed, its original market well cultivated, and local demands adequately supplied, the innovating firm will look to overseas markets in order to expand its sales and profit. Thus, this stage is known as a "pioneering" or "international introduction" stage. The technological gap is first noticed in other advanced nations because of their similar needs and high-income levels. Countries with similar cultures and economic conditions are often perceived by exporters as posing less risk and thus are approached first before proceeding to less familiar territories.

Competition in this stage usually comes from innovating nation firms since firms in other countries may -not have much knowledge about the innovation. Production cost tends to be decreasing at this stage because by this time the innovating firm will normally have improved the production process. Supported by overseas sales, aggregate production costs tend to decline further because of increased economies of scale. A low introductory price overseas is usually not necessary because of the technological breakthrough; a low



price is not desirable because of the heavy and costly marketing effort needed in order to educate consumers in other countries about the new product. In any case as the product penetrates the market during this stage, there will be more exports from the Innovating nation and, correspondingly, an increase in imports by other developed countries.

### **Stage 2-Maturity**

Growing demand in advanced nations provides an impetus for firms there to commit themselves to starting local production, often with the help of their government's protective measures to preserve infant industries. Thus, these firms can survive and thrive in spite of relative inefficiency. Development of competition does not mean that the initiating country's export level will immediately suffer. The innovating firm's sales and export volumes are kept stable because LDC is now beginning to generate a need for the product. Introduction of the product in LDCs helps offset any reduction in export sales to advanced countries.

### **Stage 3-Worldwide Imitation**

This stage means tough times for the innovating nation because of its continuous decline in exports. There is no more new demand anywhere to cultivate. The decline will inevitably affect the innovating firm's economies of scale, and its production costs thus begin to rise again. Consequently, firms in other advanced nations use their lower prices (coupled with product differentiation techniques) to gain more consumer acceptance abroad. As the product becomes more and more widely disseminated, imitation picks up at a faster pace.

### **Stage 4-Reversal**

Not only must all good things end, but also misfortune frequently accompanies the end of a favorable situation. The major functional characteristics of this stage are product standardization and comparative disadvantage. The innovating country's comparative advantage has disappeared, and what is left is comparative disadvantage. This disadvantage is brought about because the product is no longer capital-intensive or technology-intensive but instead has become labor-intensive-a strong advantage

possessed by LDCs. Thus, LDCs-the last imitators establish sufficient productive facilities to satisfy their own domestic.

### **Validity of the IPLC**

The production of semiconductors started in the United States before diffusing to the United Kingdom, France, Germany, and Japan. Production facilities are now set up in Hong Kong and Taiwan, as well as in other Asian countries. Similarly, at one time the United States used to be an exporter of typewriters, adding machines, and cash registers.

The IPLC is probably more applicable for products related through an emerging technology. These newly emerging products are likely to provide functional utility rather than aesthetic values. Furthermore, these products likely satisfy basic needs that are universally common in most parts of the world. Washers, for example, are much more likely to fit this theory than are dryers. Dishwashing machines are not useful in countries where labor is plentiful and cheap, and the diffusion of this kind of innovation as described in IPLC is not likely to occur.

### **Product Standardization versus Product Adaptation**

Product standardization means that a product originally designed for a local market is exported to other countries with virtually no change, except perhaps for the translation of words and other cosmetic changes. Revlon, for example, used to ship successful products abroad without changes in product formulation, packaging (without any translation, in some cases), and advertising. There are advantages and disadvantages to both standardization and individualization.

### **Arguments for Standardization**

The strength of standardization in the production and distribution of products and services is in its simplicity and cost. It is an easy process for executives to understand and implement, and it also is cost-effective. If cost is the only factor being considered, then standardization is clearly a logical choice because economies of scale can operate to reduce production costs. Yet minimizing production costs does not necessarily mean that

profit increases will follow. Simplicity is not always beneficial, and costs are often confused with profits.

Cost reductions do not automatically lead to profit improvements, and in fact the reverse may apply. By trying to control production costs through standardization, the product involved may become unsuitable for alternative markets. The result may be that demand abroad will decline, which leads to profit reduction. In some situations, cost control can be achieved but at the expense of overall profit. It is therefore prudent to remember that cost should not be overemphasized. The main marketing goal is to maximize profit, and production-cost reductions should be considered as a secondary objective. The two objectives are not, always convergent.

When appropriate, standardization is a good approach. For example when a consistent company or product image is needed, product uniformity is required. The worldwide success of McDonald's is based on consistent product quality and services. Hamburger meat, buns, and fruit pies must meet strict specifications. Some products by their very nature are not or cannot be easily modified. Musical recordings and works of art are examples of products that are difficult to differentiate, as are books and motion pictures. When this is the case, the product must rise and fall according to its own merit. Whether such products will be successful in diverse markets is not easy to predict.

With regard to high-technology products, both users and manufacturers may find it desirable to reduce confusion and promote compatibility by introducing industry specifications that make standardization possible.

A condition that may support the production and distribution of standardized products exists when certain products can be associated with particular cultural universals. That is, when consumers from different countries share similar need characteristics and therefore want essentially identical products. Watches are used to keep time around the world and thus can be standardized. The diamond is another example.

Advantage of standardization includes:

1. High cost of adaptation.
2. Primarily industrialized products, e.g. medical equipments

3. Convergence and similar tastes in diverse country markets.
4. Marketing to predominantly similar countries, almost similar needs, income and exposed to the same media.
5. Centralized management of international operations, headquarters prefer standardization
6. Strong country of origin effect and image, e.g. Italian shoes, French fashion, German cars,
7. Economies of scale in production, R&D, and marketing.
8. Competitors have “successful” standardized products.

### **Arguments for Adaptation**

All countries are not the same in their preference for products due to their difference in economy, culture, natural environment. Climate is a major factor which forces companies to adapt their product accordingly. As petroleum companies are modifying their product to hot country users and cold country users.

Let us see some of the reasons for product adaptations.

1. Difference in technical standards, e.g. voltage, driver side,
2. Primarily consumer and personal use products, e.g. clothes, food,
3. Variations in conditions of use.
4. Variations in ability to buy, i.e. difference in income levels.
5. Fragmentation with independent national subsidiaries.
6. Strong cultural differences, language may affect purchase.
7. Local environment-induced adaptation, e.g. governmental intervention.
8. Adaptation strategy successfully used by competitors

***Product adaptation is necessary under several conditions. Some are mandatory, whereas others are optional.***

### **Mandatory Product Modification**

The mandatory factors affecting product modification are the following:

1. Government's mandatory standards (i.e., country's regulations)
2. Electrical current standards
3. Measurement standards
4. Product standards and systems

The most important factor that makes modification mandatory is government regulation. To gain entry into a foreign market, certain requirements must be satisfied. Regulations are usually specified and explained when a potential customer requests a price quotation on a product to be imported.

For example, added vitamins in margarine, forbidden in Italy, are compulsory in the United Kingdom and Holland. In the case of processed cheese, the incorporation of a mold inhibitor may be fully allowed, allowed up to the permissible level, or forbidden altogether.

### **Optional Product Modification**

The conditions dictating product modification mentioned so far is mandatory in the sense that without adaptation a product either cannot enter a market or is unable to perform its function there. Such mandatory standards make the adaptation decision easy: a marketer must either comply or remain out of the market. A more complex and difficult decision is optional modification, which is based on the international marketer's discretion in taking action. Nescafe in- Switzerland, for instance, tastes quite different from the same brand sold just a short distance across the French border.

One condition that may make optional modification attractive is related to physical distribution, and this involves the facilitation of product transportation at the lowest cost. Since freight charges are assessed on either a weight or a volume basis, the carrier may charge on the basis of whichever is more profitable. The marketer may be able to reduce delivery costs if the products are assembled and then shipped. Many countries also have narrow roads, doorways, stairways, or elevators that can cause transit problems when products are large or are shipped assembled. Therefore, a slight product modification may greatly facilitate product movement.

A local use condition is also requiring optional product modification, including climatic conditions. The hot/cold, humid/dry conditions may affect product durability or performance. Avon modified its Candid moist lipstick line for a hot, humid climate. Certain changes may be required in gasoline formulations. If the heat is intense, gasoline requires a higher flash point to avoid vapor locks and engine stalling. As a result, these automobiles are attractive to customers in LDCs, especially when the automobiles are also durable and simple to maintain.

Another local use condition that can necessitate product change is space constraint. Sears's refrigerators were redesigned to be smaller in dimensions without sacrificing the original capacity, so that they could fit the compact Japanese home. Philips, similarly, had to reduce the size of its coffeemaker.

Philips downsized its shaver to fit the smaller Japanese hand. One U.S. brassiere company did well initially in West Germany but failed to get repeat purchases. The problem was that German women have a tendency, not to try on merchandize in the store' and thus did not find out until later that the product was ill-fitting because of measurement variations between American and German customers usually do not return a product for refund or adjustment.

Local use conditions include user's habits. Since the Japanese prefer to work with pencils-a big difference from the typed business correspondence common in the United States--copiers require special characteristics that allow the copying of light pencil lines. Finally, other environmental characteristics related to use conditions should be examined. Detergents should be reformulated to fit local water conditions.

Price may often influence a product's success or failure in the marketplace. Foreign consumers are generally not convenience-oriented, and an elaborate product can be simplified by removing any "frills" that may unnecessarily drive up the price.

One reason that international marketers often voluntarily modify their products in individual markets is their desire to maximize profit by limiting product movement across national borders. The rationale for this desire to discourage gray marketing is that some countries have price controls and other laws that restrict profits and prices. When other nearby countries has no such laws, marketers are encouraged to move products into

those nearby countries where a higher price can be charged. A problem can arise in which local firms in countries where product prices are high are bypassed by marketers who buy directly from firms handling such products in countries where prices are low.

In spite of authorities' efforts to prevent companies from keeping lower-priced goods out of higher-priced countries, marketers may do so anyway as long as they do not get caught. Some manufacturers try to hinder these practices by deliberately varying packaging, package coding, product characteristics, coloring, and even brand names in order to spot violators or to confuse consumers in markets where products have moved across borders. Perhaps the most arbitrary yet most important reason for product change abroad is historical preference, or local customs and culture. Product size, color, speed, grade, and source may have to be redesigned in order to accommodate local preference

When products clash with a culture, the likely loser is the product, not the culture. Strong religious 'beliefs make countries of the Middle East insist on halalled chickens. Product changes are not necessarily related to functional attributes such as durability, quality, operation method, maintenance, and other engineering aspects. Frequently, aesthetic or secondary qualities must also be taken into account. There are instances in which minor, cosmetic changes have significantly increased sales. Therefore, functional and aesthetic changes should both be considered in regard to how they affect the total, complete product.

In conclusion, marketers should not waste time resisting product modification. The reluctance to change a product may be the result of insensitivity to cultural differences in foreign markets. Whatever the reason for this reluctance, there is no question that it is counterproductive in international marketing. Product adaptation should rarely become an important issue to the marketer. A good marketer compares the incremental profits against the incremental costs associated with product adaptation. If the incremental profit is greater than the associated incremental cost, then the product should be adjusted-without question. In making this comparison, marketers should primarily use only future earnings and costs.

## CHAPTER VI

### INTERNATIONAL PRICING AND TERMS OF PAYMENT

#### 6.1. International pricing strategies versus domestic pricing strategies

Price is an integral part of a product – a product cannot exist without a price. Price is important because it affects demand, and an inverse relationship between the two usually prevails. Price also affects the larger economy because inflation is caused by rapid price increases. International pricing is one of the most critical and complex issues that a firm faces. Price is the only marketing mix element that creates revenue, while all the others entail costs. **Price** is the money or other considerations (including other goods and services) exchanged for the ownership or use of a good or service.

From the consumer point of view, price is used to indicate **value when it is paired with the perceived quality of a product or service**. Value can be defined as the ratio of perceived quality to price. For some products, the price itself influences the perception of quality and the value to consumer.

#### Factors Affecting International Pricing Decisions

The factors affecting pricing internationally can be grouped in to three categories, as presented in table.

| Company factors                 | Market factors                    | Environmental factors               |
|---------------------------------|-----------------------------------|-------------------------------------|
| Company objectives and policies | Competition and market structure  | Regulations and government policies |
| Costs                           | Customer demand and income levels | Exchange rates                      |
|                                 | Distribution channels             | Inflation & Price control           |

#### 1. Company factors



**A. Company objectives and policies.** When developing a pricing strategy a company has to decide what it wants to accomplish with this strategy. A company's pricing objectives should take into consideration the marketing objectives, and these in turn are based on the overall company strategy.

| Pricing objectives             | Description                                                                                                                      |
|--------------------------------|----------------------------------------------------------------------------------------------------------------------------------|
| <b>Return on investment</b>    | Prices are set at a predetermined level of return on the capital outlay on the short term                                        |
| <b>Market skimming</b>         | The firm wants to get as much profit as possible from the market in a short period of time (through a high price)                |
| <b>Market penetration</b>      | The firm wants to grab as much market share as possible in a short period of time (through low price)                            |
| <b>Early cash recovery</b>     | When the firm has a liquidity problem, it wants to generate high volume of sales and a high cash flow (special gifts, discounts) |
| <b>Prevent new entrants</b>    | Setting a low price in order to prevent new entrants from entering the market                                                    |
| <b>Product differentiation</b> | Firms with a broad product range that wish to segment the market can do this on the basis of price                               |

## **B. Costs**

Costs are often a major factor in price determination, because they provide a floor under which prices cannot go in the long run. The company wants to set a price that will at least cover the costs needed to make and sell its products. Therefore, the structure of the costs

becomes important. We know that the company costs consist of two parts: the variable costs (which change with the sales volume) and the fixed costs (which do not vary with the sales volume).

## **2. Market factors**

A. Competition and market structure represents another key factor in international price setting. The differences in the competitive situation across countries usually lead to cross border price differentials. Also the prices of competitors' products (the substitute products for the consumer) have an impact on the sale volume attained by the international company. The decision the company has to take is whether to price above, at the same level or below the competition.

### **Market structures**

- **Pure competition**- consists of many buyers and sellers trading in a uniform commodity.
- **Pure monopoly** - consists of one seller and many buyers.
- **Monopolistic competition**- consists of many buyers and sellers who trade over a range of prices rather than at a single market price by selling differentiated products.
- **Oligopolistic competition**- consists of few sellers who are highly sensitive to each other's pricing and marketing strategies.

Any price differential from competitors has to be justified in the minds of consumers by a differential in utility, namely perceived value. The closer the substitutability of products, the closer prices should be. The firm must price the product more competitively if there are other sellers in the market. A firm entering an oligopoly market where only few sellers dominate the industry, will be under pressure to keep its prices in line with the existing firms.

### **B. Customer Demand and Income level**

Customer demand and income levels are important elements to be taken into consideration when setting the price. While the costs set the floor for the price, the

consumer's perceived value attached to the product will set the ceiling of the price. Consumer demand depends on the buying power (correlated with the income level), the tastes and habits of consumers, their lifestyles and substitutes. The income level and the buying power is a key aspect in determining the price. The relationship between price and demand is expressed in the concept of the elasticity of demand, which measures how responsive is the demand to a change in price. In the countries where the per capita income is low, consumers are very price-sensitive. In the countries where there are high income levels, consumers have lower price elasticity. Practicing premium prices is difficult in such countries, therefore an option is considered to be to go for the mass market by adjusting the product (downsizing or lowering the quality of the product).

### **C. Distribution channel:**

When setting the prices the marketer has to also consider distribution channels. The distribution costs add up to the production costs and will increase the final price to the consumer. Distribution costs are function of channel length, gross margin they practice and logistics.

## **3. Environmental factors**

**A. Regulations and government policies:** have both a direct and an indirect impact on pricing policies. Factors that have a direct impact on pricing policies include taxes rates (such as the value added taxes) and tariffs' levels, import licenses and antidumping legislation. Tariff levels differ from country to country. In countries where there are high custom duties and the price elasticity is high, the price might have to be set at lower levels if the product is to achieve a satisfactory sales volume. Consequently, profitability will be low in these countries.

Also when import duties in a country are high on finished products, but relatively lower for component parts and materials, it might be an incentive to produce or assemble locally.

Import licenses are issued by some governments, when they consider that prices are too low or too high. Antidumping regulations are found in most industrialized countries. Dumping has been defined as the practice of selling in foreign markets at prices below

those in the domestic market or below the production cost. Antidumping legislation is enacted by countries that wish to protect certain local industries from price fluctuations that would disrupt/disturb/ local production.

**B. Exchange rates movement:** is one of the most unpredictable factors affecting pricing. As the exchange rates move up and down, they affect all producers. A company's costs are often calculated in the domestic currency and as this currency weakens it means that the company's goods are cheaper in another currency. This can represent a new opportunity as prices in foreign markets are reduced and sales and market share can be kept or increased. The companies that produce in countries with appreciating currencies have more difficult situations.

**C. Inflation rate:** is another major variable that can affect the cost and the pricing of a product. First countries have different inflation rates and second inflation varies over time. In stable economies inflation rate is single digit inflation (in most EU countries inflation rate is between 0-2percent) while in instable economies inflation rate can go up to several hundred or even thousands (it was the case of Brazil in 1980's). In such highly inflationary environments the company has to adjust the prices permanently to keep up with inflation, in this way product may turn out to be more expensive.

**D. Price controls.** In some countries governments regulate and control prices either for the entire economy or for specific industries (such as health, education, food and other essential items). The justifications for price control are mainly political, but also economical: the purpose is to stop inflation and the accelerating wage-price spiral, as well as to protect consumers. In such markets the company functions as in a regulated industry. Company representatives usually sustain that there are a number of negative consequences to price controls:

- ✓ the maximum price often becomes the minimum price if a sector is allowed to price increase, because all business in the sector will take it regardless of cost justification,
- ✓ The wage-spiral advances highly in anticipation of price controls, labor often turns against price restrictions because they are usually accompanied by salary restrictions, authorities raise less taxes because less money is made.

## **6.2.Price standardization**

International pricing is influenced as we have seen by a number of factors: it starts from the companies' objectives, is developed through the company policy, is based on product cost and its structure and takes into consideration environmental factors. The main alternatives when choosing one way or another of pricing are presented further.

### **A. Standardized or adapted pricing**

Can price be standardized? Can we set a uniform price in all countries? The price is not the same because the purchasing power differs from one country to another. To conclude, we cannot standardize price in nominal terms, due to differences in incomes and purchasing power, positioning of the product in different countries, due to product life cycle (the product might be in different stages in different countries requiring therefore a different price). When we talk about standardizing prices we have to distinguish the idea of standardizing prices versus standardizing price policies. We cannot standardize prices, but we can standardize pricing policies. We just have to retain that standardizing price is not the same as standardizing pricing policies.

We can say that our strategy is to have a competitive price in all markets, to sell the product at a low price and to position it as a mass product and we will set the price to whatever this means in each country.

### **B. Full cost pricing or marginal pricing?**

**The full cost pricing strategy** is also called the cost-plus pricing. This approach adds the international costs and a markup at the domestic manufacturing costs. In other words, the overseas customers pay for the total production cost of the product (including the fixed costs), as well as for the marketing costs and logistical costs of selling the product abroad. In many cases this method leads to very high prices for the end user, making the product uncompetitive in some instances.

**The marginal cost pricing** is also known as the dynamic incremental pricing. Through this method the price is set based on only variable costs for production and the exporting costs for the product. In other words the costs incurred for the production of that particular item, based on the judgment that the overheads are recovered from the previous

products. The actual cost floor can be somewhere between direct costs and the full cost. If the export price is much lower than the domestic price (due to non-inclusion of fixed costs) dumping accusations might be triggered/generate/ from the export market. Among the reasons for pricing exports at less than the full price are: to assist a dealer organization to grow, to keep a group of employees working together, to sell a special product outside the usual export line, orders for large volumes, the export customer provides his own installation and services and when incremental sales may result. On the short run when the company has excess capacity, prices can be set only on direct costs, such as labor, raw materials, shipping, but on the long run prices should recover full costs.

### **C. Skimming or penetration pricing?**

A company may enter new markets either using high prices or low prices. **The skimming strategy** consists of selling products at high prices in a new market, based on the idea that you are selling a new product, an innovative product and you can maximize your profits until the competition enters the market. This strategy can be used in those countries where there are only two income level groups: the wealthy and the poor. The poor cannot buy the product because its cost is higher than the price they can afford to pay and you address the wealthy segment that is usually in-sensitive to prices. The strategy is used in the introduction phase of the product life cycle, by limiting the demand to the early adopters who are willing to pay the price. The goals of this pricing strategy are on the one hand to maximize revenue on limited volume and on the other hand to reinforce the customers' perceptions of high quality, the price being part of the positioning strategy.

Or, by setting a deliberately high price, demand is limited to innovators and early adopters who are willing and able to pay the price. When the product enters the growth stage of the life cycle and competition increases, manufacturers start to cut prices. This strategy has been used consistently in the consumer electronics industry; for example, when Sony introduced the first consumer VCRs in the 1970s, the retail price exceeded \$1,000.

The same was true when compact disc players were launched in the early 1980s. Within a few years, prices for these products dropped well below \$500. This pattern was evident in

the fall of 1998, when HDTV sets went on sale in the United States with prices starting at about \$7,000. This price both maximizes revenue on limited volume and matches demand to available supply.

**The penetration strategy:** In this case the objective is to “penetrate” the market, to get a good market share, to cover the market well in a short period of time and it is done by selling the product at low prices. Obtaining the high market share in a short period of time will compensate for a lower per unit return. This approach usually requires mass markets, price sensitive customers and decreasing production and marketing costs as the sales volume increase.

It should be noted that a first-time exporter is unlikely to use penetration pricing. The reason is simple: Penetration pricing often means that the product may be sold at a loss for a certain length of time. Many companies, especially those in the food industry, launch new products that are not innovative enough to qualify for patent protection. When this occurs, penetration pricing is recommended as a means of achieving market saturation before competitors copy the product.

Forms of the penetration strategies:

- **Expansionistic pricing:** means that the price goes much lower in order to get a larger percentage of customers who are potential buyers at very low prices.
- **The pre-emptive pricing:** means to set the prices so low in order to discourage competition, the price level being close to the total unit cost.
- **The extinction pricing:** has the purpose to eliminate existing competitors from international markets, by again setting very low prices, close or under the total unit cost.

The strategy may be adopted by large low-cost producers with the purpose of driving weaker marginal and small producers in the industry. Whatever the pricing strategy the company uses, the one who finally decides what is the right price is the consumer. He sets the price at the level he perceives, he receives value for the money paid (for that price).

Companies from different countries can use different strategies in setting the price for their products. An important aspect when setting the export price internationally is the price quotation. Different levels of prices can be used when exporting according to who pays the transportation, handling and insurance costs.

### **Specific Aspects in International Pricing**

#### **Price escalation**

It occurs when the price in the foreign market ends up higher than the price in the domestic market due to transportation costs, local taxes, custom duties, distribution margins, export documentation charges, insurance etc. Transportation costs are important because international marketing requires shipments of products over long distances. The contribution of transportation costs to the final price depends on the type of product. High technology products are less sensitive to transportation costs than standardized consumer goods or commodities.

For expensive goods (such as computers and electronic instruments) transportation costs usually represent only a small fraction of total costs and rarely influence pricing decisions, while for commodities, transportation costs represent a higher percentage from the total costs and can decide who gets an order. Tariffs and local taxes also add to the domestic costs. Administrative costs consist of fees for imports certificates or export or import licenses and other documents. Distribution channel costs. Every time the product goes down the channel towards the consumer, somebody gets a commission every time the product changes hands, there are more taxes paid (VAT), there are added more margins and the product gets more expensive.

#### **Ways to lessen price escalation/growth/**

##### **1. Rearrange the distribution channel**

Distribution channels are often responsible for price escalation, /go up, rise/ either due to the length of channel or the high margins practiced by intermediaries. One way to lower export prices is to shorten the channel and to try to negotiate with intermediaries lower margins. Obtaining lower margins from distributors is possible only when a large part of their business depends on the company's product.



## **2. Lower the production costs for foreign markets**

There are a few ways how the company can lower production costs for foreign markets:

**A. By using different materials (cheaper materials) of lower quality and a lower price.**

**B. By eliminating costly features or make them optional.** A company can offer in a foreign market a core product and all other features to become optional. Such an example is represented by the automobiles, which in some markets have a lot of expensive features (such as central locking, leather sofa, air conditioning, etc) optional. The customers buy the core product and they can decide if they want to pay extra or not for the optional features.

**C. By down-sizing the product.** Another option would be to downsize the product by offering a smaller version of the product or less content.

## **3. Assemble or manufacture the product in foreign markets**

A closer proximity/nearness/ to the customer will lower the transportation costs. But it is not necessary to manufacture in the export market. Another argument in favor of assembling goods in a foreign market would be that usually taxes for raw materials and part components are lower than for manufactured goods, so it is more advantageous to import part components than finished goods.

## **4. Lowering tariffs:**

A. If the production costs are lowered, that will also mean lower tariffs as the tax will be applied to a lower value.

B. Modify slightly the product so that it can be reclassified into a different lower tariff classification or simply trying to persuade the custom officer to classify it under a lower tariff category.

C. Repackaging may be a solution to lower custom duties when the taxes differ for different sizes of the package.

In USA tequila bottled in larger bottles is taxed half than in the smaller bottles, so the product was rebottled in larger recipients in order to lower the custom duty.

## 5. Using free trade zones or free ports when possible

There are more than 300 free trade zones in the world: In a free trade zone, the payment of the import duties is postponed until the product leaves the free trade zone and either enters the country or is exported to a third country.

### Dumping

Dumping is an important global pricing strategy issue. Dumping is defined differently by various economists as well as by different governments, either as prices below cost of production or prices below the price of the same goods in the home market. In many cases dumping is defined as an unfair price.

There are a number of causes for dumping, among which the most frequent are:

- Subsidies from government in production.
- Subsidies from government in export.
- Subsidies from government in transport.
- Pricing on marginal cost.

### Types of Dumping

| Types                             | Description                                                                                                                                                                    |
|-----------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Predatory dumping</b>          | A firm is selling the product at a considerable loss to gain access to the market and drive out competitors.                                                                   |
| <b>Persistent dumping</b>         | A firm consistently sells at lower prices in one market than in others, as a permanent strategy, usually due to different market conditions.                                   |
| <b>Sporadic/irregular/dumping</b> | A firm wants to get rid of the unsold stocks and dumps the excess in markets abroad where they are not usually exporting to.                                                   |
| <b>Unintentional</b>              | Occurs because of the existence of a time lag between the date of the sales agreement and the arrival of the goods. The exchange rates' fluctuations can cause the final price |

|                        |                                                                                  |
|------------------------|----------------------------------------------------------------------------------|
| <b>dumping</b>         | of the good to be below the usual price in the manufacturer's home market.       |
| <b>Reverse dumping</b> | Occurs when the price of a good is much lower in the manufacturer's home market. |

Strategies that companies can use in order to avoid dumping:

1. To base its strategy on non-price competition, such as the use of credit facilities to both consumers and distributors, that is equivalent with a price reduction and avoids the dumping laws.
2. To differentiate the home product from the exported one, by selling different brands in foreign markets for comparable products, so that removing any basis for price comparison and avoiding charges of dumping.
3. To move away from low value to high value products through product differentiation.
4. To move the location of the production in the host market.

### **6.3.Export quotation terms**

In quoting the price of goods for international sale, a contract may include specific elements affecting the price, such as credit, sales terms, and transportation. Parties to the transaction must be certain that the quotation settled on appropriately locates responsibility for the goods during transportation and spells out who pays transportation charges and from what point. Price quotations must also specify the currency to be used, credit terms, and the type of documentation required. Finally, the price quotation and contract should define quantity and quality. A quantity definition might be necessary because different countries use different units of measurement. In specifying a ton, for example, the contract should identify it as a metric or an English ton and as a long or short ton. Quality specifications can also be misunderstood if not completely spelled out. Furthermore, there should be complete agreement on quality standards to be used in evaluating the product.

### **Terms of Sales**

| <b>INCOTERMS<br/>(main terms)</b>            | <b>Description</b>                                                                                                                                                                                                           |
|----------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Ex works<br/>(point of origin)</b>        | The seller's responsibility and costs ends in his home country.                                                                                                                                                              |
| <b>Free on board<br/>(FOB)</b>               | The seller's responsibility and costs end in most cases when the goods are loaded on the appropriate carrier (ship or other)                                                                                                 |
| <b>Free along side<br/>(FAS)</b>             | The seller has to provide the delivery of goods free alongside, but not on board of the transportation carrier, but only in the port of shipment                                                                             |
| <b>Cost and freight<br/>(C&amp;F)</b>        | The seller's responsibility ends when the goods are loaded on board a carrier or in the custody of a carrier. The seller is responsible for paying for the transportation, but the buyer still has to pay for the insurance. |
| <b>Cost, insurance<br/>and freight (CIF)</b> | The seller responsibility ends when the goods are loaded on board a carrier and also has to provide and pay for the transportation and for the insurance.                                                                    |
| <b>Ex dock</b>                               | The seller is responsible to provide and pay all the costs so that the goods arrive on the dock of the overseas port of destination, with the import duty paid.                                                              |

- **Ex-works (EXW) - at the point of origin**

The exporter agrees to deliver the goods at the disposal of the buyer to the specified place on the specified date or within a fixed period. All other charges are borne by the buyer.

- **Free Alongside Ship (FAS) - at a named port of export**

The exporter quotes a price for the goods, including charges for delivery of the goods alongside a vessel at a port. The seller covers the costs of unloading and wharf age. Loading onto the ship, ocean transportation, insurance, unloading and

wharf age at a port of destination and transport to the site required by the buyer are on the importer's account.

- **Free on Board (FOB) - at a named port of export**

In addition to FAS, the exporter undertakes to load the goods on the vessel to be used for ocean transportation and the price quoted by the exporter reflects this cost.

- **Cost and Freight (CFR) - to a named overseas port of disembarkation**

The exporter quotes a price for the goods, including the cost of transportation to a named overseas port of disembarkation. The cost of insurance and the choice of the insurer are left to the importer.

- **Cost, Insurance and Freight (CIF) - to a named overseas port of disembarkation**

The exporter quotes a price including insurance and all transportation and miscellaneous charges to the port of disembarkation from the ship or aircraft. CIF costs are influenced by port charges (unloading, wharf age, storage, heavy lift, and demurrage), documentation charges (certification of invoice, certification of origin, weight certificate) and other miscellaneous charges (fees of freight forwarder, insurance premiums).

- **Delivery Duty Paid (DDP) - to an overseas buyer's premises**

The exporter delivers the goods with import duties paid including inland transportation from the docks to the importer's premises.

## 6.4. Methods of payment

Table 2 Methods of payment

| Method          | Payment         | Goods available to buyer | Risk to exporter | Risk to importer                   |
|-----------------|-----------------|--------------------------|------------------|------------------------------------|
| Cash in advance | Before shipment | After payment            | None             | None<br>Relies on exporter to ship |

|                                          |                                                    |                |                                               |                                                         |  |
|------------------------------------------|----------------------------------------------------|----------------|-----------------------------------------------|---------------------------------------------------------|--|
|                                          | goods as ordered                                   |                |                                               |                                                         |  |
| Letter of credit                         | When goods shipped and documents comply, with L/C* | After payment  | Little or none depending on L/C*              | Relies on exporter to ship goods described in documents |  |
| Sight draft, documents against payment   | On presentation of draft to buyer                  | After payment  | Buyer can refuse goods                        | Same as L/C* unless he can inspect goods before payment |  |
| Time draft, documents Against acceptance | On maturity of draft                               | Before payment | Relies on buyer to pay draft                  | Same as above                                           |  |
| Open account                             | As agreed                                          | Before payment | Relies completely on buyer to pay his account | None                                                    |  |

Note

\*L/C denotes letter of credit. The terms “exporter,” “beneficiary” and “seller” are used interchangeably throughout the workbook unless otherwise noted. The terms “importer,” “applicant” and “buyer” are also interchangeable. Source: International Workbook (Chicago: Unibanc Trust, 1985), 1. Reprinted with permission of UnibancTrust.

**Cash in advance:** The seller may want to demand cash in advance when:

1. The buyer is financially weak or an unknown credit risk.

2. The economic/political conditions in the buyer's country are unstable.
3. The seller is not interested in assuming credit risk, as in the case of consignment and open account sales.

Because of the immediate uses of money and the maximum protection, sellers naturally prefer cash in advance. The problem, of course, is that the buyer is not eager to tie up its money, especially if the buyer has some doubt about whether it will receive the goods as ordered. By insisting on cash in advance, the seller shifts the risk completely to the buyer, but the seller may end up losing the sale by this insistence.

- **Cash with order** – Cash payment when order is placed

### **Letter of credit (L/C)**

**Letter of credit (L/C)** An alternative to the sight draft is a sight letter of credit (L/C). As a legal instrument, it is a written undertaking by a bank through prior agreement with its client to honor a withdrawal by a third party for goods and services rendered. The document, issued by the bank at the buyer's request in favor of the seller, is the bank's promise to pay an agreed amount of money on its receipt of certain documents within the specified time period. Usually, the required documents are the same as those used with the sight draft. In effect, the bank is being asked to substitute its credit for that of the buyer. The bank agrees to allow one party to the transaction (the seller, creditor, or exporter) to collect payment from that party's correspondent bank or branch abroad. There are several types of letters of credit, including revocable, irrevocable, confirmed, unconfirmed, standby, back-to-back, and transferable.

- **Confirmed irrevocable/unchangeable/ letter of credit** – A letter of credit issued by the importer's bank and confirmed by a bank, usually in the exporter's country. The obligation of the second bank is added to the obligation of the issuing bank to honor drafts presented in accordance with the terms of credit.
- **Unconfirmed irrevocable letter of credit** – A letter of credit issued by the importer's bank. The issuing bank still has an obligation to pay.
- **Revocable letter of credit** – A letter of credit that may be withdrawn from the beneficiary at any time without prior notice to the exporter. It does not carry a bank's obligation to pay.

## **Bill of exchange (draft)**

**Bill of exchange (draft):** A means of financing international transactions is through a bill of exchange or draft, which is a request for payment (see Figure 2). The request is an unconditional order in writing from one person (drawer) requiring the person to whom it is addressed (drawee) to pay the payee or bearer on demand or at a fixed or determinable time. The drawer, usually the exporter, is the maker or originator of the draft requesting payment. The drawee, usually the buyer, is the party responsible for honoring or paying the draft. The payee may be the exporter, the exporter's bank, the bearer, or any specified person. In short, a draft is a request for payment. It is a negotiable instrument that contains an order to pay a payee. As noted by John Stuart Mill many years ago, the purpose is to save expense and minimize the risk of transporting precious metals from place to place as payment of imports. The bill of exchange simply allows banks to make adjustments by debiting or crediting accounts maintained in buyer or seller names with other bank.

There are two principal types of bill of exchange: sight and time. A sight draft, as the name implies, is drawn at sight, meaning that it is paid when it is first seen by the drawee. A sight draft is commonly used for either credit reasons or for the purpose of title retention. A time (usance or date) draft is drawn for the purpose of financing the sale or temporary storage of specified goods for a specified number of days after sight (e.g., thirty, sixty, ninety days, or longer). There are other variations of this kind of draft. If bills of lading, invoices, and the like accompany the draft, this is known as documents against payment (D/P). If financial documents are omitted to avoid stamp tax charges against such documents or if bills of lading come from countries where drafts are not used, this type of collection is known as cash against documents. Frequently, the draft terms may read "90 days sight D/A" or documents against acceptance.

## **Open Account**

With an open account, goods are shipped without documents calling for payment, other than the invoice. The buyer can pick up goods without having to make payment first. The advantage with the open account is simplicity and assistance to the buyer, who does not have to pay credit charges to banks. In return the seller expects that the invoice will be



paid at the agreed time. A major weakness of this method is that there is no safeguard against default, since a tangible payment instrument does not exist.

- No draft drawn; transaction payable when specified on invoice.

**Consignment** – A shipment that is held by the importer until the merchandise has been sold, at which time payment is made to the exporter.

#### **Other export documents / terms**

- **A bill of lading** – is a contract between the exporter and the shipper indicating that the shipper has accepted responsibility for the goods and will provide transportation in return for payment.
  - A straight bill of lading is non-negotiable.
  - A shipper's order bill of lading is negotiable; it can be bought, sold or traded while the goods are still in transit, (title of goods can change hands)
    - normally the original bill of lading is needed to take possession of goods.
- **Air way bill** – a contract between the exporter and the air-cargo company
- **Country of origin certificate** – certifying where the goods were manufactured
- **Commercial invoice / Consular invoice** from consulate office of importing country in importing country language
- **LC margin** – a percent of payment of the total import amount paid by the importer to his bank for the bank to issue a letter of credit for the whole value of the import
- **Pre-Shipment inspection** – inspection of the goods done by or on behalf of the importer before the shipment
- **Export packing list** – a list in the export documents listing the packaging and items in each packing
- **Insurance certificate** – issued by an insurer for the insurance of the export merchandise
- **Export / Import registration** – required in various countries to allow firms to import or export goods
- **Export / Import license** – a license needed in some countries for specific imports or exports
- **Freight forwarder** – a company involved in packing and shipment of export goods

- **Customs / Clearing Agent** – company involved in dealing with the customs clearance of imported or exported goods
- **Bonded warehouse** – a designated warehouse where imported goods may be stored prior to the payment of import duties. Importers pay customs duties when they take the goods out of the bonded warehouse
- **Marking of the shipments** – markings on the outer packaging of the export consignment for the purpose of identification
- **Marine cargo insurance (special onetime / open policy)** – export goods' insurance for the transportation
  - **Containers** – metal containers (normally 20 or 40 feet long) for safe transportation of cargo by sea
- **Bulk-break** – normally goods are transported by sea in large metal containers – some exporters may not have enough cargo to fill a container then the cargo companies combine cargos from a number of exporters to fill a container for shipment to a destination.

### **6.5.Transfer pricing**

A substantial amount of global business takes place between subsidiaries of the same company. It is estimated that one third of the world trade volume takes place among the largest eight hundred multinationals. The pricing of goods and services bought and sold by operating units or divisions of a single company represent the transfer pricing. So, transfer prices (or the intra-company prices) are prices used in transactions between buyers and sellers that have the same corporate parent. How these prices are set is a major issue for international companies and governments. Transfer prices can create problems because they are not determined in the market place through the interaction of willing buyers and sellers and this can result in a situation where foreign transfer prices are set at a level that does not reflect a fair value. Due to a number of factors related to the context in which multinational companies operate, transfer prices are used to manipulate profits, duties and incomes of the company.

#### **Factors influencing transfer pricing**

1. Market conditions in the foreign country
2. Competition in the foreign country
3. Reasonable profit for the foreign affiliate
4. Economic conditions in the foreign country
5. Import restrictions
6. Custom duties
7. Price controls
8. Taxation in the foreign country
9. Exchange controls

Different tax, tariff or subsidy policies in different countries invite to the manipulation of transfer prices. By accumulating more profits in a low-tax country, a company lowers its overall tax bill and thus increases profit. At the same time the company is interested to minimize income in high tax countries. The higher the duty rates, the higher the incentive to reduce transfer prices, so that to minimize the custom duties. There are a number of reasons for which multinational companies use transfer prices in their favor.

#### **6.6.Counter Trade**

Counter trade is a pricing tool that involves some form of non-cash compensation. Counter trade comes in a few forms, some of them that involve cash compensations and some others that do not involve the use of money. Forms that do not involve any type of cash payments are barter, clearing agreements and switch trading, while forms that involve some use of money are product buy-back, compensation, counter purchase and offset as presented in table

#### **Types of counter trade**

| <b>Non cash counter trade forms</b> | <b>Cash counter trade forms</b> |
|-------------------------------------|---------------------------------|
| <b>Barter</b>                       | <b>Product buy-back</b>         |

|                            |                           |
|----------------------------|---------------------------|
| <b>Clearing agreements</b> | <b>Compensation deals</b> |
| <b>Switch trading</b>      | <b>Counter purchase</b>   |
|                            | <b>Offset</b>             |

### **Non-cash counter trade forms**

**Barter:** Barter is a direct exchange of goods between two parties: one product is exchanged for another product without the use of money. It is a one-time direct and simultaneous exchange of products of equal value (i.e., one product for another)

**Clearing agreements:** Under this form two governments agree to import a specified value of preset goods from one another over a given period of time.

Each party sets up an account that is debited whenever goods are traded. Imbalances at the end of the contract period are cleared through payment in goods (and sometimes can be in hard currency too).

**Switch trading.** This is a variant of the clearing agreements, where a third party is involved. The right to the surplus credits between the two governments is sold to specialized traders (switch trader) at a discount. The third party then uses the credits to buy goods from the deficit country.

### **Plus cash counter trade forms**

**A. Compensation:** takes place when a company sells industrial equipment to a country and receives a certain portion of the payment in convertible currency and the rest in kind. The advantage is that as compared with the barter, there is an immediate cash settlement of a portion of the bill. If the seller has to rely on a third party to find a buyer, the cost involved has to be taken into consideration in the original compensation negotiation.

**B. Counter Purchase:** Consists in signing two parallel contracts. Every party agrees to buy from the other party a certain amount of goods for hard currency. Both parties pay in

hard currency, but each party commits to buy goods from the other party. It is the most popular form of counter trade.

**C. Product buy-back:** Is usually used when a production plant, a turnkey plant, production equipment or technology is sold. The seller of the production facility agrees to be paid integrally or partially with the products manufactured with the equipment.

**D. Offset:** is a variant of the counter purchase, in which the seller agrees to “offset” the purchase price by sourcing from the importer’s country or transferring technology to the other party’s country.

### **Advantages**

The counter trade is used as a pricing tool in certain situations, when it offers certain advantages:

1. To gain access to new or difficult markets, markets that lack hard currency in cash and would prefer to pay with goods.
2. Shortages of hard currency lead to exchange controls. A company may overcome government imposed currency restrictions by using barter agreements.
3. Companies that have a large amount of overhead need to increase sales. They can use counter trade in order to dispose of the surplus products.
4. Also companies that accept counter trade as a form of payment will be able to capitalize, to benefit of a long-term good-will from those countries.

### **Its Risk and Shortages**

- A. The goods offered in exchange cannot be used in-house and the company might face a problem of what to do with those goods.
- B. Such deals usually involve a longer period of time in order to agree over the goods to be treated and their perspective valuation, the percentage of cash and goods, the time horizon for contracts.
- C. There is always the risk that the price of the goods that will be received to change from the time the contract is signed until the products are delivered and sold. Also, there is always the uncertainty over the quality of the goods.

D. Transaction costs are usually higher as the company has to find buyers for the goods received, they have to pay commissions to middlemen if they use any.

Among those we present the most frequent ones:

**1. To minimize tax liabilities.** Given the different level of taxation, companies will try to maximize profits in low income countries and to minimize profits in high income countries.

**A. From countries with low income taxes:** transfer prices are set high for goods and services sold from countries with lower corporation tax to another subsidiary of the firm in a high tax country. By transferring (selling) the goods at high prices the company gets high income that is taxed low, while the partner company in the high income country to which the goods are transferred have higher costs (by buying at high prices) and get less income to be taxed.

**B. From countries with a high corporation tax:** transfer prices are set low for goods and services transferred from countries with high corporation tax to a country with a low corporation tax. By transferring (selling) the goods at low prices, companies are obtaining low incomes and consequently low profits to be taxed in a high tax country. At the same time the companies from low tax countries to which products are transferred at low prices get large incomes that are low taxed.

## **2. To avoid host country government regulation**

If the foreign government places restrictions on the repatriation of dividends, interests or royalties, the company can manipulate again the transfer prices in order to shift funds out. Usually it is the case of developing countries that have such restrictions and from where multinational are willing to transfer the funds.

**A. From the developing country (with restrictions).** The goods will be transferred from the developing country to another country by setting low transfer prices. In this way the company does not accumulate high income and high profits in a country from which it is difficult to repatriate.

**B. From the developed country:** The goods will be transferred from the developed country to the developing country at high prices that represent high costs of

acquisition/gaining/ for the company in the developing country, and at the same time money (costs paid) get out of the country.

**3. Reduce tariff duties (when they are ad valorem):** Goods are transferred to countries with high tariffs at low transfer prices, so that lowering the value of goods and services and paying a lower tariff.

**4. Avoid sharing profits.** When the company has a form of a joint venture and not a wholly owned subsidiary in a foreign country, does not want to share the profits with the foreign partner. In these cases there is an incentive for companies to transfer goods and services in subsidiaries that are joint ventures in foreign countries at high prices, involving high costs for the company and therefore less profit to be shared with the local partners. A low transfer price towards a subsidiary that is a joint venture would mean that profits obtained have to be shared.

### **There are a number of methods that multinational use to set the transfer prices**

**A. The market based transfer pricing** uses the market mechanism as a cue for setting transfer pricing. Such prices are usually referred to as arm's length prices, meaning that the company charges the price that any buyer, any third party from outside the company would be charged.

**B. The non-market based transfer pricing** comprises various policies that deviate from the market based pricing. Among those the most well-known are:

a. The negotiated pricing

b. Cost based pricing

**a. Negotiated prices** can be set at any levels and can solve any of the multinational's problem from the ones mentioned above.

**b. The cost based pricing** can also be done in at least three different ways, all having at starting point the cost, but different levels of costs:

1. Based on the manufacturing cost, when the transfer price is set at the level of the production cost.

2. Cost plus approach

- ✓ Local manufacturing cost plus a standard mark-up      Cost of most efficient producer plus standard mark-up

## **CHAPTER VII**

### **7. Distribution Strategies in International Context**

Distribution is the physical flow of goods through channels. Channels are made up of a coordinated group of individuals or firms that perform functions that add utility to a product or service. Distributor are wholesale intermediary that typically carries product lines or brands on a selective basis. Agent is an intermediary who negotiates transactions between two or more parties but does not take title to the goods being purchased or sold.

There are six channel structure alternatives for consumer products. The characteristics of both buyers and products have an important influence on channel design. The first alternative is to market directly to buyers via the Internet, mail order, various types of door-to-door selling, or manufacturer owned retail outlets. The other options utilize retailers and various combinations of sales forces, agents/brokers, and wholesalers. The number of individual buyers and their geographic distribution, income, shopping habits, and reaction to different selling methods frequently vary from country to country and may require different channel approaches. Product characteristics such as degree of standardization, perish-ability, bulk, service requirements, and unit price have an impact as well. Generally speaking, channels tend to be longer (require more intermediaries) as the number of customers to be served increases and the price per unit decreases. Bulky products usually require channel arrangements that minimize the shipping distances and the number of times products change hands before they reach the ultimate customer.

Although channels for consumer products and industrial products are similar, there are also some distinct differences. In business-to-consumer marketing (b-to-c or B2C), consumer channels are designed to put products in the hands of people for their own use; as participants in a process known as business to- business marketing (b-to-b or B2B),



industrial channels deliver products to manufacturers or other types of organizations that use them as inputs in the production process or in day-to-day operations.

The marketing channel alternatives for the industrial- or business-products company. As is true with consumer channels, product and customer characteristics have an impact on channel structure. Three basic elements are involved: the manufacturer's sales force, distributors or agents, and wholesalers. A manufacturer can reach customers with its own sales force, a sales force that calls on wholesalers who sell to customers, or a combination of these two arrangements. A manufacturer can sell directly to wholesalers without using a sales force, and wholesalers, in turn, can supply customers. Finally, a distributor or agent can call on wholesalers or customers for the manufacturer.

Marketing channels exist to create utility for customers

- ✱ **Place utility** - availability of a product or service in a location that is convenient to a potential customer
- ✱ **Time utility** - availability of a product or service when desired by a customer
- ✱ **Form utility** - availability of the product processed, prepared, in proper condition and/or ready to use
- ✱ **information utility** - availability of answers to questions and general communication about useful product features and benefits

### 7.1.Meaning of logistic

Marketing was described as one of the activities in a firm's **value chain**. The distribution "P" of the marketing mix plays a central role in a given firm's value chain; because global companies create value by making sure their products are available where and when customers want to buy them. Physical distribution consists of activities involved in moving finished goods from manufacturers to customers. However, the value chain concept is much broader, for two basic reasons. First, the value chain is a useful tool for assessing an organization's competence as it performs value-creating activities with a

broader **supply chain**. Second, the particular industry in which a firm competes (for example, automobiles, pharmaceuticals, or consumer electronics) is characterized by a value chain. The specific activities an individual firm performs help define its position in the value chain.

Supply Chain: includes all the firms that perform support activities by generating raw materials, converting them into components or finished products and making them available to customers. Logistics: is the management process that integrates the activities of all companies to ensure an efficient flow of goods through the supply chain.

Order Processing: includes order entry in which the order is actually entered into a company's information system; order handling, which involves locating, assembling, and moving products into distribution; and order delivery

Warehousing: warehouses are used to store goods until they are sold. **Distribution centers** are designed to efficiently receive goods from suppliers and then fill orders for individual stores or customers

Inventory Management: ensures that a company neither runs out of manufacturing components or finished goods nor incurs the expense and risk of carrying excessive stocks of these items.

Transportation: the method or mode a company should utilize when moving products through domestic and global channels; the most common modes of transportation are rail, truck, air, and water.

## **7.2. Accessing foreign market channels of distribution**

A global company expanding across national boundaries must utilize existing distribution channels or build its own. Channel obstacles are often encountered when a company enters a competitive market where brands and supply relationships are already established. Direct involvement in distribution in a new market can entail considerable expense. Sales representatives and sales management must be hired and trained. The sales organization will inevitably be a heavy loser in its early stage of operation in a new market because it will not have sufficient volume to cover its overhead costs. Therefore,

any company contemplating establishing its own sales force should be prepared to underwrite losses for this sales force for a reasonable period of time.

Channel strategy must fit the company's competitive position and marketing objectives with in each national market.

- Direct involvement – the company establishes its own sales force or operates its own retail stores.
- Indirect involvement – the company utilizes independent agents, distributors, and/or wholesalers.

*Working with Channel Intermediaries:*

- ✦ Select distributors – don't let them select you
- ✦ Look for distributors capable of developing markets, rather than those with a few good customer contacts
- ✦ Treat local distributors as long-term partners, not temporary market-entry vehicles
- ✦ Support market entry by committing money, managers, and proven marketing ideas
- ✦ From the start, maintain control over marketing strategy
- ✦ Make sure distributors provide you with detailed market and financial performance data
- ✦ Build links among national distributors at the earliest opportunity

Channel decisions are important because of the number and nature of relationships that must be managed. Channel decisions typically involve long-term legal commitments and obligations to various intermediaries. Such commitments are often extremely expensive to terminate or change, so it is imperative for companies to document the nature of the relationship with the foreign partner.

## **Global Retailing**

**Global retailing** is any retailing activity that crosses national boundaries. Since the mid-1970s, there has been growing interest among successful retailers in expanding globally. However, this not a new phenomenon. Today's global retailing scene is characterized by great variety. Retail stores can be divided into categories according to the amount of square feet of floor space, the level of service offered, width and depth of product offerings, or other criteria.

- ✨ Department stores
- ✨ Specialty retailers
- ✨ Supermarkets
- ✨ Convenience stores
- ✨ Discount stores and warehouse clubs
- ✨ Hypermarkets
- ✨ Supercenters
- ✨ Category killers
- ✨ Outlet stores

A number of factors have prompted retailers to look overseas for new store development. When competition, local laws governing retailing practice, distribution patterns, or other factors are taken into account. However, a company may possess competencies that can be the basis for competitive advantage in a particular retail market. A retailer has several things to offer consumers. Some are readily perceived by customers, such as selection, price, and the overall manner in which the goods are offered in the store setting. The last includes such things as store location, parking facilities, in-store atmosphere, and customer service. Competencies can also be found in less visible value chain activities such as distribution, logistics, and information technology.

Environmental Factors:

- Saturation in the home country market
- Recession or other economic factors

- Strict regulation on store development
- High operating costs

### **7.3. Use of Free ports**

Moving cargo to an overseas destination is a much more complex task than transportation of freight locally. Other than the usual package designed to protect and/or promote a product while on display, packing (shipping package) is necessary if the merchandise is to be properly protected during shipment. Because of a greater number of hazards, the length of time during which the cargo is in transit, and a carrier's limited liability, the shipper should obtain marine insurance. In addition, the shipper should take necessary packing precautions to minimize any chance of damage.

Containerization is one of several transportation modes that can achieve this goal. Cargo cannot move without proper documentation. There are a huge number of documents that must be filed to satisfy an exporter's government requirements and an importer's legal requirements. To compound this problem, the document requirements of the various countries are far from being uniform. The shipper, however, does not have any option; the shipper simply must submit all required documents if a cargo is to be moved and if the shipper is going to collect payment from the buyer. There are specialists in cargo movement who can facilitate the process for a fee. Freight forwarders and customs brokers work for the shipper and the importer, respectively. They are capable of taking over all aspects of physical distribution and documentation. When the shipper wants to be relieved of these responsibilities, these intermediaries can help.

Reference:

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N.B. Other books and articles written on similar topics could also be refereed.

